



ACQLERATE

MODULE 3

Defense Contracting Fundamentals

Master contract types, the source selection process, contract administration, and how to protect the government's interests.

11 Lessons · ~183 Minutes · Lesson Book Edition

Course Lessons

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DEFENSE CONTRACTING FUNDAMENTALS · LESSON 1

Who's Buying: Navigating the DoD Contracting Enterprise

16 min

Map the organizations that actually issue defense contracts (from enterprise-level offices to base contracting squadrons and command-level teams) and build a BD strategy aligned to the right customer tier.

The Buying Isn't One Place

Imagine you want to sell office supplies to a large hospital system. There's the central procurement office that handles large system-wide contracts, there's each individual hospital's local purchasing team for day-to-day supplies, and there's the specialty surgery centers that have their own specialized procurement.

You wouldn't walk into the surgery center trying to sell them copy paper, and you wouldn't cold-call the central office trying to sell them a one-time supply of bandages. (You also probably wouldn't get a call back either way, but that's a separate problem.)

Same thing with DoD. The contracting enterprise isn't one office: it's hundreds of them, organized by tier and authority. Contractors who understand which tier they're dealing with build smarter BD (Business Development) strategies. Contractors who don't waste proposals on the wrong doors.

Air Force Example: The Three-Tier Map

LAYER	WHO RUNS IT	TYPICAL SIZE	ENTRY DIFFICULTY	RELATIONSHIP WEIGHT
AFICC / ESS	Air Force Installation Contracting Center	\$1M–\$100M+	Moderate–High	Moderate
Base Contracting Squadron	Local installation CO team	Under \$1M (SAP range)	Low–Moderate	Very High
MAJCOM Contracting (ACC, AMC, USAFE, etc.)	Command-aligned contracting	\$500K–\$50M+	High	High

The Base Is Your On-Ramp

For anyone new to defense contracting (or new to a specific service or installation) start at the base level. One BPA (Blanket Purchase Agreement) or simplified acquisition win gives you:

- A real CPARS rating with a real CO and COR
- A name in the base contracting office's market research files
- A reference for future enterprise-level competitions
- A relationship with the COR who is your biggest competitive asset for recompetes

The \$150K base-level BPA you win this year is the past performance reference that wins the \$5M enterprise contract in two years.

SAM.gov: Your Intelligence Feed

- How to navigate SAM.gov: create a free account → Workspace → Contract Opportunities → use filters for NAICS, agency, set-aside type, and notice type
- Monitor SAM.gov daily for Sources Sought and RFI notices: these are the government's market research phase
- Respond to every Sources Sought for requirements in your capability area: even if you can't win yet
- Attend Industry Days and Pre-solicitation Conferences: they're not optional for serious competitors (bring business cards and modest expectations for the coffee)
- Set up automated SAM.gov email alerts for your NAICS codes and target agencies: do it today if you haven't
- Track incumbent contracts using FPDS-NG: every award above the micro-purchase threshold is public

FROM LUCAS

I've seen firms spend \$200K on a proposal and lose to a smaller, less capable competitor because the other firm had been showing up at Industry Days for 18 months and had a real relationship with the program office.

Know who controls the buy. That means knowing which tier you're dealing with (enterprise, base, or command) and then knowing the names. The CO. The COR. The program office PM. The contracting officer's supervisor.

That's not schmoozing. That's market intelligence. And it's legal. Use it.

How to Build a Customer Map

- Identify the contracting squadron for each target installation: use the AFICC website, IMCOM directory, or SAM.gov agency search
- Map each installation's contracting volume by NAICS code using FPDS-NG
- Identify CORs on current contracts in your area: they often become future requirements owners
- Track recompetete timelines for current contracts in your pipeline: 12–18 months out is the right engagement window
- Build relationships across the CO–COR–PM triangle, not just the CO

USASpending.gov: Free Competitive Intelligence Most Contractors Ignore

USASpending.gov is the federal government's public database of every contract, grant, and loan award. Here's how to actually use it:

How to navigate it: Go to usaspending.gov → click “Advanced Search” → filter by Awarding Agency (e.g., Dept of the Air Force), NAICS Code, Place of Performance, and Date Range. Every contract that matches appears with contractor name, total value, period of performance, and contract number.

What contractors use it for:

- Find the incumbent on any active contract
- Research a competitor: search their company name to see every federal contract they've won, what agency, what value, and when
- Price benchmarking: what did the government pay for this same work in the last 3 years?
- Identify recompetes: filter by period of performance ending in the next 12 months

What KOs use it for: Market research to justify price reasonableness in the IGCE. If comparable work was awarded at \$4.2M last year, that's a data point.

Pro tip from Lucas: Before writing a capability statement for any agency, spend 20 minutes on USASpending searching what that agency has already been paying, to whom, and how much. You will write a completely different document.

MAJCOM Contracting: Harder to Enter, Harder to Displace

For cleared firms with specialized capabilities, MAJCOM-level contracting represents some of the most defensible long-term work in defense. Requirements tend to be longer in duration (five or more years is common) less transparent to competitors, and harder to displace once performance is strong.

The entry cost is real: clearances, existing relationships, OCONUS capability for some. But the competitive density is far lower than in the enterprise services space.

If your firm has a specialization (special operations support, intelligence, electronic warfare, airlift support) the MAJCOM contracting tier is where that specialization becomes a moat.

Key Terms

Contracting Enterprise

The network of contracting offices across a military service: not one office, but hundreds organized by tier and function. Understanding which tier you're dealing with is the foundation of a smart BD strategy.

Enterprise Contracting (e.g., AFICC/ESS)

The tier that runs large multi-year, multi-installation service contracts. Formal source selection, written proposals. \$1M–\$100M+. In the Air Force this is AFICC (Air Force Installation Contracting Center) and its ESS (Enterprise Sourcing Squadrons).

Base/Installation Contracting

The local contracting office on each military installation. Handles day-to-day needs using simplified procedures. Typically under \$1M. The fastest path to a first contract and a real CPARS rating for new entrants.

MAJCOM Contracting

Command-level contracting for operationally-driven requirements. MAJCOM stands for Major Command: ACC, AMC, USAFE, ICOM, etc. Often classified or OCONUS. Requires clearances and existing relationships. Less visible, less crowded, harder to enter.

SAM.gov

System for Award Management: the federal government's official procurement website. Every contract opportunity above \$25K must be posted here. Your first stop for market intelligence and the place where Sources Sought, RFIs, and solicitations are published.

Sources Sought / RFI

Market research tools the government uses before writing an RFP. A Sources Sought asks who's out there and capable. An RFI (Request for Information) asks for more detail. Responding to these is how you shape requirements and get on the CO's (Contracting Officer's) radar: before the competition opens.

CPARS

Contractor Performance Assessment Reporting System: the government's permanent record of how well you performed on a contract. CPARS ratings are visible to source selection evaluators on future competitions. Past performance is your most portable competitive asset.

COR

Contracting Officer's Representative: the government employee who monitors your contract performance day-to-day and writes your CPARS rating. The COR has no authority to change contract scope or price (only the CO can do that) but the COR's assessments follow your firm to every future competition.

Knowledge Check

Which tier of the DoD contracting enterprise offers the fastest pathway to building past performance for a new defense contractor?

A. Enterprise contracting (e.g., AFICC/ESS)

✓ **B. Base/Installation contracting squadrons**

C. MAJCOM command-level contracting

D. DLA (Defense Logistics Agency)

WHY

Base-level contracting squadrons process thousands of smaller actions annually using simplified acquisition procedures. For small businesses and new market entrants, this is the fastest path to a real CPARS rating, CO/COR relationships, and the past performance that enterprise-level competitions require.

What is the primary purpose of responding to a Sources Sought or RFI notice on SAM.gov?

A. To submit a formal proposal for contract award

✓ **B. To shape requirements, establish your firm's interest, and get into the CO's market research file**

C. To register your company for simplified acquisition procedures

D. To formally protest a competitor's incumbent contract

WHY

Sources Sought and RFIs are the government's market research phase: not contract opportunities. Responding places your firm on the CO's radar, shapes how requirements are written, and costs almost nothing. Contractors who ignore them often find the final RFP written around a competitor's capabilities.

The COR (Contracting Officer's Representative) is most important to a contractor PM because:

A. They have authority to modify the contract scope and price

✓ **B. They write the CPARS performance rating that follows the contractor to future competitions**

C. They approve invoice payments and funding modifications

D. They determine whether the contractor is eligible for option year exercise

WHY

The COR monitors day-to-day performance and writes the CPARS ratings that follow your firm to every future competition. Treating the COR as a strategic relationship (not just a contract monitor) is one of the highest-ROI investments a contractor PM can make.

A defense contractor wants to enter a new military service branch (Army) for the first time. Based on the three-tier framework, what is the recommended starting approach?

A. Immediately pursue Army Contracting Command enterprise contracts to build visibility

✓ B. Target IMCOM (Installation Management Command) contracting offices at Army installations for base-level work first

C. Focus exclusively on MAJCOM contracting for maximum contract value

D. Register on SAM.gov and wait for enterprise solicitations to appear

WHY

IMCOM manages Army installation contracting: the base-level tier. Winning base-level Army work gives you Army-specific CPARS ratings, CO and COR relationships on Army installations, and the past performance foundation needed to compete at the Army Contracting Command enterprise level.

FPDS-NG is most valuable to a defense contractor BD team because it:

A. Allows direct submission of proposals to contracting officers

✓ B. Shows all current contract awards including incumbents, vehicle types, values, and expiration dates

C. Provides security clearance sponsorship for MAJCOM requirements

D. Lists small business set-aside opportunities above the SAT

WHY

FPDS-NG is the public record of every federal contract award above the micro-purchase threshold. It tells you who holds the incumbent contract, when it expires, how much they're being paid, and what vehicle it's on. Knowing incumbents and recompetes timelines is the foundation of any serious capture plan.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 2

Contract Types: Choosing the Right Vehicle

16 min

Every contract you work on has a type, and that type determines who absorbs cost risk, how your fee is calculated, and what the government will scrutinize.

Every contract you work on has a type, and that type determines who absorbs cost risk, how your fee is calculated, and what the government will scrutinize. Know FFP, FPIF, CPIF, CPAF, CPFF, and T&M cold. They shape your entire financial life on a program.

TYPE	FULL NAME	WHO BEARS RISK?	BEST USED WHEN	FAR REF
FFP	Firm-Fixed-Price	Contractor (100%)	Well-defined requirements; stable design; competitive market	FAR 16.202
FPIF	Fixed-Price Incentive (Firm)	Shared via formula	Design fairly mature; some cost uncertainty remains	FAR 16.403
CPIF	Cost-Plus-Incentive-Fee	Shared via formula	Development programs where cost targets can be set	FAR 16.304
CPAF	Cost-Plus-Award-Fee	Mostly Government	Complex services where performance quality is hard to quantify	FAR 16.305
CPFF	Cost-Plus-Fixed-Fee	Government (100%)	Early R&D; high tech risk; level-of-effort work	FAR 16.306
T&M	Time & Materials	Government (100%)	Cannot define hours/effort upfront; last resort; D&F required	FAR 16.601

Contract Type Definitions: Know These Cold

- **FFP (Firm-Fixed-Price):** Price locked at award. Contractor eats every dollar over budget. Government pays nothing extra. Maximum incentive for contractor efficiency.
- **FPIF (Fixed-Price Incentive Firm):** Starts like FFP with a target cost and ceiling price. Cost savings/overruns are shared via a ratio (e.g., 80/20) until the Point of Total Assumption (PTA), where contractor absorbs 100%.
- **CPIF (Cost-Plus-Incentive-Fee):** Government pays all allowable costs. Contractor fee goes up if they beat the target cost, down if they overspend, but they always get reimbursed. Incentive is on cost performance.

- **CPAF (Cost-Plus-Award-Fee):** Government pays all allowable costs plus a base fee. Additional award fee is determined subjectively by a Fee Determining Official (FDO) after each evaluation period. No formula: purely judgment-based. Incentive is on performance quality.
- **CPFF (Cost-Plus-Fixed-Fee):** Government pays all allowable costs plus a fixed fee that never changes regardless of actual cost. No financial incentive for contractor to control costs. Used for early R&D where cost estimation is impossible, which is a polite way of saying nobody actually knows what this will cost yet.
- **T&M (Time & Materials):** Government pays hourly labor rates plus materials at cost. No cap on hours unless a ceiling is set. Least preferred: requires a D&F that no other type is suitable and active CO surveillance.

Contract Type Strategy for Mid-Career PMs

Contract type is decided during acquisition planning: before the contractor is even selected. By the time the RFP drops, the risk structure is locked in.

Mid-career PMs need to think beyond “who bears risk” to incentive design. A CPIF with an 80/20 share ratio incentivizes cost control. A 50/50 ratio gives the contractor less motivation: they keep more of every dollar saved, which sounds good, but also absorbs less of every overrun.

For schedule incentives: CPIF-CPAF combinations work well. The fixed fee covers profit at plan, the incentive fee rewards cost performance, and the award fee rewards schedule and technical performance.

Complex programs often use multiple CLINs with different contract types: a development CLIN at CPFF, a production option at FFP. Design the structure so each CLIN type matches the actual risk profile of that work, not a one-size-fits-all label.

Undefinitized Contract Actions (UCAs): The Most Dangerous Contract Tool

A UCA (Undefinitized Contract Action) is a contract started before price is agreed. They're authorized under FAR 16.603 and DFARS 217.74 (Defense Federal Acquisition Regulation Supplement, which may need new letterhead if the “Department of War” rename ever finalizes), but they're the source of some of the worst cost outcomes in DoD acquisition.

DFARS requires definitization within 180 days or 40% of not-to-exceed value obligated: whichever comes first. In practice, programs routinely miss these deadlines. Definitization happens after the contractor has already incurred most costs, which completely eliminates your negotiating leverage.

The contractor who knows you MUST definitize has zero incentive to reduce costs. They've already spent the money. You're just arguing over who pays for it.

Senior PMs: minimize UCAs. Use them only when genuine urgency justifies starting before price is agreed. And when you do use one, definitize aggressively: before the contractor has spent their way into a position of strength.

Key Terms

FFP

Firm-Fixed-Price: price is set at award and does not change. Contractor bears 100% of cost risk. Most preferred by FAR. Used when requirements are well-defined and market competition exists. (FAR 16.202)

FPIF

Fixed-Price Incentive (Firm Target): has a target cost, target fee, ceiling price, and share ratio. Contractor and government share cost savings/overruns up to the ceiling. Above the Point of Total Assumption (PTA), contractor absorbs 100%. (FAR 16.403-1)

CPFF

Cost-Plus-Fixed-Fee: government reimburses all allowable costs plus a fixed fee that does not change with cost performance. Contractor has no financial incentive to control costs. Used for R&D and early development where costs cannot be estimated. (FAR 16.306)

CPIF

Cost-Plus-Incentive-Fee: government reimburses all allowable costs, and the fee adjusts based on cost performance against a target. If the contractor beats the target cost, fee goes up; if they overspend, fee goes down. Still cost-reimbursable: government pays all costs regardless. (FAR 16.304)

CPAF

Cost-Plus-Award-Fee: government reimburses all allowable costs plus a base fee, with additional award fee determined subjectively by a Fee Determining Official (FDO) based on periodic performance evaluations. Unlike CPIF, the award fee is not tied to a formula: it is a judgment call. Used when performance quality matters more than cost control. (FAR 16.305)

T&M

Time & Materials: contractor is paid fixed hourly labor rates plus actual material costs. Government bears essentially all cost risk since there is no ceiling on hours. Requires CO surveillance and a not-to-exceed ceiling. D&F required to justify use. (FAR 16.601)

Share Ratio

In incentive contracts, the split of cost savings or overruns between government and contractor (e.g., 80/20 means government absorbs 80¢ and contractor keeps/loses 20¢ of every dollar above/below target cost).

PTA

Point of Total Assumption: on an FPIF contract, the cost level at which the contractor has lost all its fee and begins absorbing 100% of additional costs. Above the PTA, the contract behaves like FFP.

D&F

Determination and Findings: a documented government decision required to justify use of certain contract types (e.g., T&M, cost-reimbursable) or acquisition actions that deviate from standard FAR policy.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 3

Contracts vs. Task Orders: Know the Difference

14 min

Understand the fundamental distinction between base contracts and task orders, and why it matters for how work gets authorized, modified, and paid.

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The Task Order Process on a MAC-IDIQ

1. Requirement identified: program office describes the work
2. Scope check: does this work fit the IDIQ?
3. Issue a TORFP to all pool members
4. Fair opportunity: the government must notify all eligible awardees equally
5. Evaluate proposals (lighter than a full competition, but still documented)
6. Award to best value (or LPTA, depending on the requirement)
7. Execute: the task order is its own contract in practice
8. Modify the task order for changes: not the base IDIQ (mixing those two up is how good COs start twitching)

Major Defense & Government-Wide IDIQ Vehicles

CONTRACT VEHICLE	TYPE	ADMINISTERED BY	BEST FOR
OASIS+	MAC-IDIQ GWAC	GSA	Professional services across all disciplines
Alliant 2	MAC-IDIQ GWAC	GSA	Large-scale IT services and solutions
STARS III	MAC-IDIQ GWAC (SDVOSB/SB)	GSA	IT services: small business set-aside
SeaPort-NxG	MAC-IDIQ	NAVSEA	Navy engineering and program support
AFCAP IV	MAC-IDIQ	AFCEC	Air Force contingency base support
EAGLE II	MAC-IDIQ	DHS	IT solutions for DHS components

Key Terms

IDIQ

Indefinite Delivery / Indefinite Quantity: a contract type that establishes terms and conditions for ordering supplies or services over time.

Task Order (TO)

An order for services placed under an IDIQ contract: the mechanism that authorizes and funds specific work.

Delivery Order (DO)

An order for supplies placed under an IDIQ contract (parallel to task order, but for products).

MAC-IDIQ

Multiple Award Contract IDIQ: competition is split among multiple awardees who then compete for individual task orders.

GWAC

Government-Wide Acquisition Contract: an IDIQ available for use by multiple federal agencies, awarded by a lead agency.

Ordering Period

The time window during which task orders may be placed under an IDIQ contract (distinct from the period of performance on individual TOs).

Ceiling

The maximum dollar value of all orders that may be placed under an IDIQ contract.

Minimum Guarantee

The minimum value the government is obligated to order under an IDIQ: typically a nominal amount (\$1,000–\$25,000).

Fair Opportunity

The requirement under FAR 16.505 to provide each MAC-IDIQ awardee a fair opportunity to compete for each task order over \$3,500.

BPA

Blanket Purchase Agreement: a simplified ordering agreement under GSA Schedule or open market, similar in concept to an IDIQ but without minimum/maximum guarantees.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 4

IAC MACs, Instrument Hierarchy & Technical Direction Letters

22 min

Understand IAC MACs and GWACs, the full contract instrument hierarchy (IDIQ base to task order to CLIN), and how TDLs work on GSA vehicles day-to-day.

Understand IAC MACs and GWACs, the full contract instrument hierarchy (IDIQ base → task order → CLIN), and how TDLs work on GSA vehicles day-to-day. Includes a deep dive on DTIC and STI deliverables that surprise most contractor PMs on MAC vehicles.

Why Interagency Vehicles Exist

Here's the problem the government was trying to solve: every federal agency independently running its own competitions for the same categories of work. The Air Force needs IT consulting. The Army needs IT consulting. The Navy needs IT consulting. Each one writes its own solicitation, evaluates its own proposals, awards its own contract, and pays its own acquisition workforce to manage all of it. That's expensive, slow, and duplicative.

Interagency contracts (vehicles set up by one agency that other agencies can order from) solve this. One agency does the heavy lifting of competition and award. Everyone else benefits.

IAC, MAC, and GWAC: Nested, Not Interchangeable

These three terms get used interchangeably in conversation, but they're not the same thing. Think of them as nested categories.

An IAC (Interagency Acquisition Contract) is the broadest term: any contract vehicle established by one agency for use by others. GWACs are a subset of IACs.

A MAC (Multiple Award Contract) describes the award structure: multiple vendors win simultaneously, each holding a “seat” on the vehicle. When the government has work, it competes a task order among those awardees. A MAC can be agency-specific (only one agency uses it) or government-wide.

A GWAC (Government-Wide Acquisition Contract) is a MAC that has been designated for use by any federal agency. GSA administers the major GWACs: OASIS+, Alliant 2, STARS III. OMB policy puts pressure on agencies to use existing GWACs rather than creating duplicative vehicles. Before an agency can set up its own competing contract, they're supposed to justify why a GWAC doesn't meet their needs.

Think of GWACs like Costco. Costco did the negotiation work once: pre-vetted suppliers, competitive prices, standardized terms. Any Costco member can walk in and buy without running their own sourcing process.

GSA is Costco. The GWAC is the store. The awardee vendors are the suppliers stocked on the shelves. Any federal agency (Costco member) can place an order without running their own full and open competition. No free samples on the way to the task order, unfortunately.

A MAC-IDIQ that isn't a GWAC is like a company's internal supply agreement: same concept, same efficiency, but only employees of that one company can use it.

The Economy Act: The Legal Foundation

The Economy Act (31 U.S.C. § 1535) is the law that makes interagency acquisitions possible. It authorizes one federal agency to buy goods or services from another federal agency.

Here's how the transaction works: The requesting agency (the one with the requirement) and the servicing agency (the one that holds the contract) execute an Interagency Agreement (IAA). The IAA documents the scope, the funding being transferred, and the terms of the arrangement. The servicing agency then places the order against its own contract on behalf of the requesting agency.

Two key requirements under the Economy Act: (1) the using agency must determine that the use of another agency's contract is in its best interest: not just convenient, but genuinely advantageous; and (2) the cost must be fair and reasonable. On OASIS+ and most major GWACs, OMB designations handle much of this analysis: the determination has effectively already been made at the policy level.

Fair Opportunity: Being on the Vehicle Isn't Winning the Work

Getting on a MAC-IDIQ vehicle is not the same as winning work. Under FAR 16.505, every awardee on the vehicle must be given a “fair opportunity” to be considered for each task order above the simplified acquisition threshold (currently \$250K for most agencies).

In practice, this means the government issues a Task Order Request for Proposals (TORFP or TORP) to some or all of the vehicle awardees, receives proposals, evaluates them, and awards the task order to one (or sometimes multiple) awardees.

There are exceptions (urgent and compelling need, only one awardee is capable, the order is a logical follow-on) but they're the exception, not the rule. Being on the bus doesn't guarantee you'll play. It guarantees you're eligible to compete.

The Full Instrument Stack

One of the most common sources of confusion in defense contracting is understanding exactly what type of acquisition instrument you're dealing with, and what it can and can't do. Here's the full stack, from most complex to most granular.

INSTRUMENT	WHAT IT IS	WHERE THE MONEY LIVES	WHO USES IT DAILY
Standalone Contract	A single contract for one specific, defined requirement. Full FAR Part 15 competition. When the work ends, the relationship ends.	In the contract itself: fully funded at award (or by option).	PM and CO manage it directly.
IDIQ Base Contract	The “umbrella”: establishes terms, ceiling value, ordering period, labor categories/rates, and eligible awardees.	Obligates little or no money (often just the minimum guarantee, sometimes \$1). Does NOT contain most of the money. That comes later, in task orders.	Contracts team manages the base. PM focuses on task orders.
Task Order (TO)	An order for services placed under the IDIQ. Has its own SOW, period of performance, CLINs, and funding. This is where the actual work lives.	Yes: task orders are funded and obligated. This is what pays the contractor.	The contractor PM manages this every day.
Delivery Order (DO)	Identical concept to a task order, but for supplies or products instead of services.	Yes: funded and obligated.	Program office and logistics.
CLIN	Line items within a task order or contract that define specific work elements, funding, and periods of performance.	Funding is tracked and obligated at the CLIN level: each CLIN has its own ceiling.	Finance, contracts, and PM all track CLIN burn rates.
TDL	A written technical direction within the existing task order scope. Directs HOW the contractor does the work: not WHAT work is authorized.	No new money. TDLs operate within already-obligated task order funding.	Issued by the COR; executed by the contractor PM.

Winning an IDIQ base contract (like getting awarded a position on OASIS+) is a significant achievement. It means the government has vetted you, qualified you, and put you in the pool of eligible vendors. But here's the honest truth: winning the base contract obligates almost nothing.

The base IDIQ sets the terms: the ordering period (how long agencies can place task orders), the ceiling value (the maximum total value of all task orders across all awardees), the labor categories and rate structures, and any vehicle-specific rules. But it doesn't direct specific work, and it doesn't obligate meaningful money: the minimum guarantee is often \$1 per awardee, just enough to make the contract legally binding.

Winning the base gets you on the team bus. It doesn't guarantee you'll play. Playing means winning task orders.

Task Orders vs. Delivery Orders

Task orders are for services. Delivery orders are for supplies. That's the official distinction under FAR 16.501.

In practice, defense professionals often use “task order” to mean both, and in a conversation context, that's usually fine. But in a contract or legal context, the distinction matters. If your IDIQ is structured for services, you issue task orders. If it's for products, you issue delivery orders. If it's a hybrid (many defense IDIQs are), you may have both.

For most BD and PM professionals working on services-based vehicles like OASIS+ or FEDSIM, you'll almost always be talking about task orders.

CLINs: The Line-Item Structure

Every task order has a CLIN structure: a breakdown of the funded work into line items. Think of CLINs like a restaurant order itemized on the bill: CLIN 0001, Base Period Services (the entree); CLIN 0002, Option Year 1 (the dessert you haven't ordered yet); CLIN 0003, Option Year 2; CLIN 0004, Travel (drinks); CLIN 0005, Other Direct Costs (sides). Nobody orders dessert before the entree arrives, and nobody should be spending Option Year 2 money during the base period either.

Each CLIN has its own funding ceiling, its own period of performance, and sometimes its own contract type (one CLIN might be Firm Fixed Price while another is Time & Materials). Most importantly: appropriation tracking (the “color of money”) is managed at the CLIN level.

Why does color of money matter? Because different appropriation types (O&M, RDT&E, Procurement) have different rules about what they can fund and when. Mixing appropriation types incorrectly at the CLIN level is an Antideficiency Act issue. Your finance team worries about this. As a PM, you need to know it exists and make sure you're never directing work under the wrong CLIN.

TDLs: The Day-to-Day Direction Tool

If you work on a FEDSIM-managed task order or a GSA OASIS+ task order, TDLs are not an occasional tool. They are the primary mechanism for directing day-to-day work. Understanding them thoroughly is one of the most practically valuable things a contractor PM or government COR can do.

The task order SOW on most GSA vehicles is intentionally broad. It might say something like: “Provide IT advisory and assistance services in support of the customer agency's enterprise modernization mission.” That language is flexible by design: flexibility is the whole point of these vehicles.

Once the task order is awarded, the COR (or Ordering Officer, depending on the agency's delegation) issues TDLs throughout the period of performance to direct specific activities within that broad scope.

A typical TDL might look like this: “Effective Monday, March 3, assign two senior analysts to support the network migration project in Building 7. Provide weekly status reports to the COR by COB each Friday. Estimated level of effort: 160 hours per analyst over 8 weeks.”

The contractor reads it, confirms it's within the authorized scope and within available CLIN funding, acknowledges receipt in writing, and executes. No new competition. No contract modification. No new approval chain. Just directed work within an already-established framework.

This is efficient. It's also where most disputes on these vehicles originate.

The Hard Limits of a TDL

A TDL is powerful precisely because it doesn't require a formal contract action. But that power has hard limits. A TDL cannot:

1. **Add scope.** If the new work wasn't described (directly or by reasonable implication) in the task order SOW, a TDL cannot authorize it. “Please also support the new data center consolidation effort that wasn't mentioned in the SOW” is not a valid TDL. That's a new requirement, and it needs either a task order modification or a new task order.
2. **Obligate additional funding.** Only the Contracting Officer can obligate government funds. A COR who writes a TDL saying “here's \$50K more to handle the additional work” has no legal authority to do that. The \$50K isn't real until the CO signs a modification.
3. **Extend the period of performance.** If the task order expires September 30 and the COR writes a TDL on September 15 directing work through December 31, that TDL is void as to the extension. A contract mod signed by the CO is required.
4. **Change any contract terms.** The contract type, payment terms, reporting requirements, security requirements: all of these are established in the task order. A TDL cannot change them. That's what a contract modification is for.

Think of your task order like an apartment lease. You've agreed to pay \$2,000 a month for 12 months, and the lease defines exactly what the apartment includes: two bedrooms, one parking space, shared laundry.

The landlord (government COR) can tell you to use the parking space on the north side of the building instead of the south side. That's a TDL: a direction about how to use what's already included in your lease.

But if the landlord says “I also need you to pay for the storage unit downstairs”: that's a lease amendment (contract modification). It adds something not in the original agreement. You can't just pay for the storage unit because the landlord asked nicely and then try to get reimbursed later. You don't have a legal basis, and the landlord's management company (the Contracting Officer) never approved it.

How Contractors Get Burned: The Unauthorized Commitment

Here's how contractors get burned. The COR (who is a perfectly good, well-intentioned government employee) asks the contractor to do something extra. Maybe it's a small thing. Maybe it's urgent. Maybe the relationship is strong and nobody wants to slow down to do paperwork (the thing everyone agrees to skip right up until the moment it would have saved them). The contractor performs the work.

Later, there's a dispute. Maybe the task order ran out of funding. Maybe there was a leadership change. Maybe there's a protest. Someone asks: was this work authorized? The COR didn't have authority to authorize it. The CO never touched it. There's no modification. The contractor has invoices for work the government has no legal obligation to pay for.

This is an unauthorized commitment: when someone without contracting authority binds (or appears to bind) the government to pay for something. Unauthorized commitments can be ratified after the fact, but that's a painful, time-consuming process with no guaranteed outcome. The better strategy is to never get there.

The COR is not the enemy in this scenario. The COR often doesn't realize they're stepping outside their authority. The contractor PM has to know the rules well enough to protect both parties.

If a TDL asks you to do something that wasn't in the SOW, adds funding, references extending the work beyond the current period of performance, or changes how the contract works: stop. Do not start the work. Immediately notify the Contracting Officer in writing, explain the concern, and ask for a contract modification if the work is legitimate. Document the notification. This protects you legally and gives the government a chance to do the right paperwork.

A Disciplined TDL Response Process

Treating TDL management as a disciplined process (not just reading emails and starting work) is what separates experienced GSA vehicle PMs from the ones who end up in disputes.

Step 1: Read it carefully. Is the directed work within the scope of your task order SOW? Not just vaguely related to the mission: actually within the authorized scope language.

Step 2: Check the CLIN. Is there funded ceiling available under the right CLIN to cover this work? If the TDL directs work under a CLIN that's nearly exhausted, flag it immediately before starting.

Step 3: If it's within scope and funded, acknowledge receipt in writing. A simple email back to the COR works. "Received TDL-2026-007 dated March 31. We will commence the directed activities on April 7 as specified."

Step 4: Execute and document. Keep records of what you did in response to the TDL, when, by whom, and at what cost. When you invoice, reference the TDL number.

Step 5: If it's not within scope, or if you're not sure: stop and write to the CO. Not the COR. The CO. Clearly, professionally, in writing. “We received TDL-2026-008 directing support for the cloud migration effort. We want to flag that cloud migration services do not appear to be within the current SOW. Please advise whether a task order modification is needed before we proceed.”

DTIC and STI Deliverables: The Surprise Requirement

DTIC (the Defense Technical Information Center) is DoD's central repository for scientific and technical information produced under defense research contracts. On MAC vehicles that include R&D, engineering, or science and technology work (including OASIS+ task orders involving technical studies or systems engineering) the contract will likely include STI (Scientific and Technical Information) CDRLs. Think of DTIC as the DoD's library: your technical reports go in so the next program office doesn't pay to reinvent the same wheel. Missing an STI deliverable is a CDRL deficiency with the same CPARS consequences as missing any other contractual deliverable. Most contractors working professional services MACs don't realize their task order has STI requirements until they get a COR deficiency notice.

- STI deliverables are formal CDRLs with due dates and submission requirements: not optional
- OASIS+ and similar GWACs flow STI requirements down to qualifying task orders: read the base contract
- Every submission requires a distribution statement (A through F) assigned by the Contracting Officer
- If you miss an STI deadline, self-report and cure immediately: do not wait for the COR to flag it
- STI is distinct from CDRL deliverables for program reporting, but equally enforceable

What Experienced GSA Vehicle PMs Do

Managing a GSA vehicle task order well isn't complicated, but it does require consistent discipline on a few key practices. Here's what the experienced PMs do.

- **Know your task order SOW cold.** If you don't know the exact boundaries of your authorized scope, you cannot evaluate whether a TDL is within scope. Read the SOW at award. Re-read it at the start of each option year. If the language is ambiguous, get clarification from the CO in writing before the ambiguity becomes a dispute.
- **Maintain a TDL log.** Track every TDL you receive: TDL number, date issued, description of directed work, estimated and actual labor hours, and the invoice(s) you tied to it. This log is your primary protection in a dispute. If the COR's memory and your log disagree, your log wins.
- **Build your COR relationship proactively.** The COR is your primary government customer on a day-to-day basis. They write your CPARS rating: the performance evaluation that follows you to your next competition. They issue your TDLs. They know what's coming before you do. Invest in a weekly check-in, stay transparent about issues, and treat them as a partner, not just a gatekeeper.
- **Know when to escalate to the CO (and escalate through your contracts lead.** Scope questions, funding concerns, anything that feels like a TDL is trying to change the task order) that goes to the CO. But in most

large programs, contractors communicate with the CO through their own contracts and legal team, not directly. Know your internal escalation chain and use it.

- **Never start work on a verbal direction alone.** “The COR called me and asked us to do this” is not sufficient documentation. An email from the COR directing specific work is acceptable as a written TDL equivalent in many cases, but a phone call is not. If you received only verbal direction, follow up immediately in writing: “Per our call today, I understand you’re directing us to [X]. Please confirm by reply email so we can proceed.” Do not start the work until you have that confirmation in writing.
- **Track CLIN funding monthly, not just total task order ceiling.** Running out of funding under a specific CLIN before the period of performance ends is a serious problem: you may have to stop work even if there’s money in other CLINs. Watch burn rates by CLIN every month. When a CLIN reaches 75% expended, flag it to the COR so the CO can be looped in on whether a modification is needed.
- **At option year time, make sure your performance is documented.** Task order options are not automatically exercised. The decision to exercise depends on mission need, funding availability, and performance. Make sure the COR has documented your performance evaluations (CPARS entries and interim assessments) before option year decisions are made. An undocumented great performance is worth less than a documented good one.

The interagency acquisition framework exists to save time and reduce duplication. GWACs like OASIS+ are the government’s shared infrastructure for recurring service needs. Task orders (not the base IDIQ) are where the real work lives. TDLs are the day-to-day tool for directing that work, with real and hard limits on what they can authorize. Knowing the difference between what a COR can direct via TDL and what requires a CO-signed modification is the single most practically valuable piece of knowledge for any contractor PM or government COR working on these vehicles.

Key Terms

IAC (Interagency Acquisition Contract)

Any contract vehicle set up by one federal agency that other agencies are allowed to order from. GWACs are the most well-known type of IAC, but the broader category includes many agency-specific vehicles that permit limited cross-agency use.

MAC (Multiple Award Contract)

A contract awarded to multiple vendors at the same time. Each awardee holds a “seat on the vehicle.” When the government has work, it runs a competition among those awardees and issues a task order to one (or more) of them. Winning a MAC gets you in the door; it doesn't guarantee work.

GWAC (Government-Wide Acquisition Contract)

A MAC that has been officially designated for use by any federal agency: not just the one that awarded it. GSA runs the major GWACs: OASIS+, Alliant 2, STARS III. OMB policy requires agencies to justify why they're not using a GWAC before they stand up a competing vehicle.

Economy Act (31 U.S.C. § 1535)

The federal law that lets one agency buy goods or services from another agency. It's the legal foundation for interagency acquisitions. The requesting agency and the servicing agency formalize the arrangement through an Interagency Agreement. The using agency must certify the arrangement is in its best interest and that the cost is fair and reasonable.

Interagency Agreement (IAA)

The formal document between a requesting agency (the buyer) and a servicing agency (the one that holds the contract) that authorizes an interagency acquisition transaction. On OASIS+, for example, the IAA between the customer agency and GSA is what legally kicks off the ordering process.

Task Order (TO)

An order for services placed against an IDIQ base contract. The task order is where the actual work lives: it has its own Statement of Work, period of performance, CLIN structure, and funding. If you're a contractor PM, the task order is what you manage every day. The base IDIQ sets the rules; the task order is the game.

Delivery Order (DO)

Mechanically identical to a task order, but used for supplies or products instead of services. If the IDIQ is for laptops, the delivery order says “deliver 500 units to Fort Bragg by March 31.” In practice, defense folks often use “task order” loosely to cover both, but technically, task orders = services, delivery orders = supplies.

CLIN (Contract Line Item Number)

The line-item structure inside a contract or task order that breaks down the work into discrete, funded elements. Think of CLINs like a restaurant check itemized by dish: CLIN 0001 is the base period, CLIN 0002 is Option Year 1, CLIN 0003 is travel. Each CLIN has its own funding ceiling, period of performance, and contract type. Appropriation tracking (the “color of money”) happens at the CLIN level.

Technical Direction Letter (TDL)

A written instruction from the government (typically the COR or Ordering Officer) that directs the contractor's technical work within the existing scope of the task order. The critical word is “within.” A TDL cannot add scope, add funding, extend the period of performance, or change any contract terms. If it tries to do any of those things, it's not a TDL: it's an unauthorized commitment.

Unauthorized Commitment

When someone who lacks contracting authority agrees to (or implies) that the government will pay for something it hasn't legally authorized. A COR who directs work outside the task order scope is making an unauthorized commitment. The contractor may perform the work in good faith and never get paid. This is one of the most common disputes on GSA vehicle task orders.

COR (Contracting Officer's Representative)

The government's day-to-day technical point of contact on a contract or task order. The COR monitors contractor performance, issues TDLs, and writes CPARS ratings. They do NOT have contracting authority: they can't obligate funds, change contract terms, or authorize work outside the scope. Only the Contracting Officer (CO) can do those things.

Fair Opportunity

The requirement under FAR 16.505 that all awardees on a MAC-IDIQ vehicle must be given a fair opportunity to compete for each task order above the simplified acquisition threshold. There are limited exceptions (unusual urgency, one awardee is uniquely qualified, etc.), but as a rule, being on the vehicle doesn't mean you automatically get the work: you have to compete for it.

Knowledge Check

What is the key difference between a GWAC and a MAC?

A. A GWAC is awarded to a single vendor; a MAC is awarded to multiple vendors

✓ **B. A GWAC has been designated for use by any federal agency; a MAC may be limited to one agency or a subset of agencies**

C. A GWAC can only be used for IT services; a MAC covers all service categories

D. A MAC requires the Economy Act; a GWAC does not

WHY

A MAC (Multiple Award Contract) describes the award structure: multiple vendors win simultaneously. A GWAC is a specific type of MAC that has been officially designated for government-wide use. Not every MAC is a GWAC. An agency-specific IDIQ with multiple awardees is a MAC but not a GWAC.

The Economy Act (31 U.S.C. § 1535) authorizes what?

- A. GSA to award contracts on behalf of other agencies without competition
- ✓ **B. One federal agency to purchase goods or services from another federal agency**
- C. Contractors to self-authorize additional work when the COR is unavailable
- D. Agencies to exceed their appropriated budgets when mission requirements demand it

WHY

The Economy Act is the legal foundation for interagency acquisitions. It allows one agency (the requesting/using agency) to buy from another agency (the servicing agency that holds the contract). The two agencies formalize the arrangement through an Interagency Agreement (IAA). The using agency must certify the use is in its best interest and the cost is fair and reasonable.

A task order differs from the base IDIQ contract primarily in what way?

- A. The base IDIQ defines the specific work and funds it; the task order just establishes eligibility
- ✓ **B. The task order contains the specific SOW, period of performance, funding, and deliverables; the base IDIQ provides the framework and terms but obligates little or no money**
- C. The base IDIQ is competed; the task order is awarded without competition
- D. Task orders are signed by the COR; the base IDIQ is signed by the CO

WHY

The base IDIQ is the umbrella: it sets the rules, ceiling value, ordering period, and eligible awardees, but obligates little money (often just the minimum guarantee). The task order is where the actual work and funding live. It has its own SOW, CLIN structure, period of performance, and obligated dollars. The task order is what a contractor PM manages day-to-day.

What is the key difference between a Task Order and a Delivery Order?

- A. Task orders are issued by the CO; delivery orders are issued by the COR
- ✓ **B. Task orders are used for services; delivery orders are used for supplies or products**
- C. Task orders require fair opportunity competition; delivery orders do not
- D. Delivery orders are placed against standalone contracts; task orders are placed against IDIQs

WHY

Under FAR 16.501, task orders are orders for services placed against an IDIQ, while delivery orders are orders for supplies or products. In practice, defense professionals often use “task order” informally to cover both, but the legal distinction matters for contract structure and appropriation purposes.

A TDL from a COR asks the contractor to begin supporting a new project not described anywhere in the task order SOW. What should the contractor PM do?

- A. Execute the work immediately: the COR has authority to direct all technical activities
- B. Refuse to do any additional work until the task order period of performance expires

✓ C. Stop, notify the Contracting Officer in writing of the scope concern, and do not start the work until a contract modification is issued

- D. Execute the work and add a note to the invoice explaining that the COR verbally authorized it

WHY

A TDL cannot add scope. If a TDL directs work that wasn't in the task order SOW, the COR has exceeded their authority. The contractor PM must immediately notify the Contracting Officer (CO) in writing, describe the concern, and not start the work. Starting the work anyway risks performing an unauthorized commitment: work the government has no legal obligation to pay for.

CLINs (Contract Line Item Numbers) in a task order serve what primary purpose?

- A. They identify which contracting officer is responsible for each deliverable

✓ B. They break the task order into funded work elements with individual ceilings, periods of performance, and appropriation tracking

- C. They establish the vendor's security clearance level for each phase of work
- D. They are used exclusively to track travel and ODC reimbursements

WHY

CLINs are the financial and contractual architecture of a task order. Each CLIN defines a specific element of work (e.g., base period services, option year 1, travel), has its own funding ceiling and period of performance, and may have its own contract type. Critically, appropriation tracking (color of money) is managed at the CLIN level, which matters for Antideficiency Act compliance.

On a GSA OASIS+ task order, the COR verbally directs the contractor to add two analysts to the team starting next week. What is the correct contractor response?

A. Assign the analysts immediately; the COR is the day-to-day authority on all staffing decisions

✓ B. Follow up with the COR in writing to confirm the verbal direction before starting, verify the work is within scope and within available CLIN funding, then execute once confirmed in writing

C. Decline any staffing change unless it is accompanied by a signed contract modification

D. Contact OMB to report the unauthorized direction

WHY

Verbal direction alone is not sufficient documentation on a government contract. The contractor should immediately follow up in writing: “Per our call today, I understand you’re directing us to assign two senior analysts starting April 7. Please confirm by email.” Once confirmed in writing, the contractor should verify the work is within scope and that CLIN funding covers the effort, then proceed. This protects both parties.

An agency wants to use OASIS+ to acquire professional services. What document authorizes the interagency transaction between the requesting agency and GSA?

A. A Technical Direction Letter issued by the agency COR

B. A Fair Opportunity Determination signed by the CO

✓ C. An Interagency Agreement (IAA) executed between the requesting agency and GSA under the Economy Act

D. A Sole Source Justification approved by the agency's Senior Procurement Executive

WHY

When a requesting agency wants to use a GSA vehicle like OASIS+, they execute an Interagency Agreement (IAA) with GSA under the authority of the Economy Act. The IAA documents the scope of the requirement, transfers the funding, and establishes the terms of the interagency relationship. GSA (the servicing agency) then places the task order against OASIS+ on the requesting agency's behalf.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 5

A&AS, IDIQs, and GWACs: The Defense Vehicle Landscape

18 min

Master the full spectrum of defense contract vehicles: from IDIQ structures and fair opportunity rules to A&AS categories and GWACs that define how defense contractors win recurring work.

Master the full spectrum of defense contract vehicles: from IDIQ structures and fair opportunity rules to A&AS categories and GWACs that define how defense contractors win recurring work.

Why Vehicle Strategy Is Your Most Important BD Decision

Before a single proposal is written, before a capture plan is built, the most consequential BD decision a defense contractor makes is which contract vehicles to pursue and hold. The vehicle you're on determines what opportunities you can see, which agencies you can serve, and whether you're competing in a pool of 3 contractors or 300. Winning a place on the right IDIQ vehicles is the infrastructure of a sustainable defense business: task order wins are built on top of it.

Contract Vehicle Types: Know the Differences

VEHICLE TYPE	SCOPE	WHO CAN USE	ENTRY DIFFICULTY	BEST FOR
IDIQ (Agency-Specific)	Agency-specific requirements	Named awardees only	Moderate–High	Recurring work with target agency
GWAC	Government-wide	All federal agencies	High: rigorous qualification	IT, professional services across agencies
GSA MAS	Commercial items/services	All federal agencies	Low–Moderate	Commercial-type offerings, product sales
BPA	Agency/base-level recurring needs	Specific CO only	Low	Recurring small purchases, simplified acquisitions
OTA	R&D / Prototype only	Sponsoring agency	Moderate (consortium model)	Innovation, rapid prototyping under 10 U.S.C. § 4022

Single Award vs. Multiple Award IDIQ: The Revenue Tradeoff

The choice between single and multiple award structures reflects a fundamental government tradeoff between competition and efficiency. Single award IDIQs deliver maximum revenue certainty for the winner, but they require the government to demonstrate that only one firm is capable, which is increasingly difficult to defend. Multiple award IDIQs dominate the defense services landscape precisely because they maintain competition at the task order level while reducing the procurement overhead of re-competing each requirement from scratch.

Fair Opportunity Is the Rule: Exceptions Are Narrow

Under FAR 16.505, the government must give all MA-IDIQ awardees a fair opportunity to be considered for every task order. The five exceptions (unusual urgency, only one awardee capable, public interest sole source, logical follow-on, and minimum order) are each legally constrained and routinely protested. Never assume an exception applies. If a competitor receives a task order without fair opportunity competition, GAO protest is a viable and often successful remedy.

Single vs. Multiple Award IDIQ: Side by Side

FEATURE	STANDALONE CONTRACT	SINGLE AWARD IDIQ	MULTIPLE AWARD IDIQ
Competition Level	Full & Open or Set-Aside	Single competition at award	Competition at vehicle + each task order
Revenue Certainty	High (if awarded)	Very High	Moderate: depends on win rate
Entry Difficulty	Moderate to High	Very High	Moderate
Typical Duration	1–5 years	5–10 years	5–10 years
BD Effort Post-Award	Low	Low	High: continuous task order competition
Common Use Cases	Unique, defined scope	Specialized capability, single source	Broad services, IT, professional services

Advisory and Assistance Services (A&AS): What It Means for Contractors

A&AS is not just a label: it is a formal acquisition category under FAR 37.2 with regulatory implications for how contracts are structured, what personnel qualifications may be required, and how inherently governmental function boundaries are applied. Being categorized as A&AS often means higher scrutiny, more demanding performance standards, and greater government oversight of your personnel qualifications. But it also means access to some of the most stable, high-value recurring work in the defense space.

The Three A&AS Subcategories: Know Yours

- **Management and Professional Support Services:** program management support, financial management consulting, organizational studies, strategic advisory. This is where most large defense service firms compete.
- **Studies, Analyses, and Evaluations:** research, assessments, analytical work products, independent evaluations. Requires demonstrated analytical methodology and cleared personnel for sensitive assessments.
- **Engineering and Technical Services:** support to acquisition programs including systems engineering, technical advice, test support, and logistics engineering. The backbone of major program office support contracts.
- **A&AS-D (Digital):** emerging Air Force/Space Force category covering digital engineering, DevSecOps support, software factory integration, and digital transformation advisory. Contractors without demonstrated digital credentials will find these task orders increasingly difficult to compete.

The Major GWACs: Which Vehicles to Target

GWACs represent the premium tier of the defense contracting vehicle landscape. They require the most rigorous qualification process and carry the highest competition at task order level, but they open the entire federal marketplace, not just a single agency. The strategic value of a GWAC position compounds over time as you build past performance, expand to new agencies, and develop relationships across the federal enterprise.

Key Defense & Federal GWACs

GWAC	MANAGED BY	SCOPE	KEY FOR	SET-ASIDE POOLS
OASIS+	GSA	Complex professional services: PM, management consulting, engineering, logistics	Large businesses + SB set-aside pools	Yes: SB, SDB, 8(a), SDVOSB, HUBZone, WOSB
CIO-SP4	NIH	IT services and solutions	IT-focused defense contractors	Yes: unrestricted + small business
Alliant 3	GSA	Large-scale IT solutions and services	Large prime IT integrators	Unrestricted only
STARS III	GSA	IT services for small businesses	Small businesses in IT/cyber/cloud	Small business only
SEWP VI	NASA	IT products and product-related services	Product-heavy offerings	Mixed pools

OTA Warning for Contractors

Other Transaction Agreements under 10 U.S.C. § 4022 are NOT contracts in the FAR sense: they bypass standard procurement regulations. This makes them attractive for speed but requires careful legal and DCAA (Defense Contract Audit Agency, another one that may need new business cards if “Department of War” sticks) awareness. OTAs executed through consortium managers (like NSTXL, AFWERX, or DIU) have different terms than traditional contracts. Always have acquisition counsel review OTA terms before executing: particularly around IP rights, audit access, and flow-down requirements.

Building Your Vehicle Portfolio Strategy

A mature defense contractor does not pursue every vehicle: it builds a deliberate portfolio aligned to its core capabilities, target agencies, and growth strategy. Chasing every GWAC that lands in your inbox isn't a strategy, it's a hobby with a proposal team attached. The right vehicle mix balances near-term revenue (agency-specific IDIQs where you have relationships) with long-term expansion (GWACs that open new agencies) and specialized positioning (set-aside vehicles that leverage socioeconomic certifications). Map every pursuit in your pipeline to a vehicle before you commit proposal resources.

Key Terms

IDIQ

Indefinite Delivery, Indefinite Quantity: a contract type that establishes a ceiling value and minimum guarantee, under which the government orders services or supplies via task or delivery orders.

Single Award IDIQ

An IDIQ where one contractor holds the vehicle and receives all task orders without further competition. Highest revenue certainty; hardest to win.

MA-IDIQ

Multiple Award IDIQ: the dominant defense contracting model. Multiple contractors hold the vehicle; task orders are competed among awardees under fair opportunity provisions (FAR 16.505).

Fair Opportunity

FAR 16.505 requirement that all MA-IDIQ awardees receive a fair opportunity to be considered for each task order. Exceptions are narrow and scrutinized.

A&AS

Advisory and Assistance Services: a formal acquisition category under FAR 37.2 covering management advisory functions, studies and analyses, and engineering and technical services.

GWAC

Government-Wide Acquisition Contract: a pre-competed IDIQ vehicle available to all federal agencies. Examples: OASIS+, CIO-SP4, Alliant 3, STARS III.

GSA MAS

GSA Multiple Award Schedule: allows contractors to sell pre-negotiated commercial products and services to federal agencies. A marketing platform, not a revenue guarantee.

BPA

Blanket Purchase Agreement: a simplified acquisition mechanism for recurring needs, established against an existing contract or GSA Schedule.

MAC

Multiple Award Contract: umbrella term for any contract vehicle where multiple awardees compete for individual task orders.

A&AS-D

Advisory and Assistance Services: Digital. Emerging subcategory covering digital engineering, DevSecOps support, and digital transformation advisory. Growing across Air Force and Space Force.

OASIS+

One Acquisition Solution for Integrated Services Plus: GSA's flagship professional services GWAC replacing the legacy OASIS vehicle. Covers complex professional services including program management, management consulting, and engineering.

CIO-SP4

Chief Information Officer Solutions and Partners 4: NIH's GWAC for IT services and solutions. One of the most widely used GWACs across civilian and defense agencies.

Knowledge Check

Under FAR 16.505, what is the default rule for task order competition on a Multiple Award IDIQ?

A. The government may award to any awardee at its sole discretion

✓ **B. All awardees must receive a fair opportunity to be considered**

C. Task orders under \$150,000 require full and open competition

D. The incumbent contractor receives right of first refusal

WHY

FAR 16.505 requires the government to provide all MA-IDIQ awardees a fair opportunity to be considered for each task order. This is the default rule; exceptions (unusual urgency, only one awardee capable, public interest, logical follow-on, minimum order) are narrow and legally constrained.

Which A&AS subcategory covers digital engineering support, DevSecOps, and software factory integration?

A. Management and Professional Support Services

B. Studies, Analyses, and Evaluations

C. Engineering and Technical Services

✓ **D. A&AS-D (Digital)**

WHY

A&AS-D (Digital) is the emerging subcategory gaining traction across the Air Force and Space Force that specifically covers digital engineering, DevSecOps support, software factory integration, and digital transformation advisory.

What is the key distinction between a GWAC and an agency-specific IDIQ?

A. GWACs have higher minimum guarantees than agency IDIQs

✓ **B. GWACs are available to all federal agencies; agency IDIQs are limited to named awardees**

C. Agency IDIQs require Congressional notification; GWACs do not

D. GWACs are only for small businesses; agency IDIQs are unrestricted

WHY

The defining characteristic of a GWAC is that it is available government-wide: any federal agency can place orders against it. Agency-specific IDIQs are limited to the ordering agency and named awardees only.

An OTA (Other Transaction Agreement) differs from a traditional FAR contract primarily because:

A. OTAs have lower dollar thresholds

✓ **B. OTAs bypass standard FAR procurement regulations**

C. OTAs require Congressional approval

D. OTAs are only available to small businesses

WHY

OTAs under 10 U.S.C. § 4022 are NOT contracts in the FAR sense: they bypass standard procurement regulations. This makes them attractive for speed and innovation but requires careful legal review, particularly around IP rights, DCAA access, and flow-down requirements.

Which of the following best describes the GSA Multiple Award Schedule (MAS)?

A. A guaranteed revenue source for qualified contractors

B. A pre-competed vehicle available only to defense agencies

✓ **C. A marketing platform with pre-negotiated commercial terms available to all federal agencies**

D. An IDIQ requiring annual task order competitions

WHY

The GSA MAS allows contractors to sell pre-negotiated commercial products and services to federal agencies, but it is a marketing platform, not a revenue guarantee. Contractors must actively pursue orders; simply holding a schedule generates no revenue.

OASIS+ is best described as:

A. An Army-specific IDIQ for base operations services

✓ **B. GSA's flagship GWAC for complex professional services including program management and engineering**

C. A NASA GWAC for IT products and services

D. A DoD-only vehicle for classified program support

WHY

OASIS+ (One Acquisition Solution for Integrated Services Plus) is GSA's flagship GWAC for complex professional services: covering program management, management consulting, engineering, logistics, and scientific services. It replaced the legacy OASIS vehicle and includes both unrestricted and small business set-aside pools.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 6

GSA Vehicles: OASIS+, FEDSIM, and AAS-D

18 min

Master the most important government-wide acquisition contracts for professional services: how they work, when to use them, and what the differences are.

Master the most important government-wide acquisition contracts for professional services: how they work, when to use them, and what the differences are.

Key Professional Services & IT GWACs

VEHICLE	TYPE	FOCUS	CEILING	POOLS
OASIS+	MAC-IDIQ GWAC	Professional & technical services (all disciplines)	\$60B+	Unrestricted + SB pools by functional area
Alliant 2	MAC-IDIQ GWAC	Large-scale, complex IT services & solutions	\$50B	Unrestricted only (Large Business)
STARS III	MAC-IDIQ GWAC	IT services: small business	\$50B	8(a), WOSB, SDVOSB, HUBZone pools
8(a) STARS III	MAC-IDIQ GWAC (part of STARS III)	IT services (8(a) SDB only)	)	8(a) small disadvantaged business
MAS (Schedules)	IDIQ Schedule	Commercial products and services (broad)	No ceiling	Multiple SINs (Special Item Numbers)

The OASIS+ Task Order Process

1. Determine the requirement fits OASIS+ scope (professional/technical services)
2. Identify the correct OASIS+ pool (unrestricted vs. small business, functional area)
3. Establish an Interagency Acquisition Agreement (IAA) with GSA (if not already in place)
4. Issue a Task Order Request for Proposal (TORFP) to the applicable pool
5. Provide fair opportunity to all eligible pool holders per FAR 16.505
6. Evaluate proposals and make best-value task order award
7. Administer the task order: the ordering agency's CO retains oversight

Note: GSA charges an Industrial Funding Fee (IFF) or similar fee on OASIS+ orders.

OASIS+ Self-Service vs. FEDSIM Assisted Acquisition

ASPECT	OASIS+ (SELF-SERVICE)	FEDSIM (ASSISTED)
Who runs the acquisition?	Ordering agency's own CO	GSA/FEDSIM CO on behalf of customer
CO authority	Ordering agency retains CO authority	FEDSIM CO holds contracting authority
Best for	Agencies with strong in-house contracting capacity	Agencies without sufficient CO capacity or expertise
Timeline	Faster if agency has resources	May be slower due to coordination; adds FEDSIM process
Cost	IFF/fee to GSA for vehicle use	Acquisition management fee to FEDSIM (varies by contract value)
Vehicles used	OASIS+ pool directly	FEDSIM may use Alliant 2, STARS III, OASIS+, or others

GSA OASIS+ and FEDSIM: Navigating the Competitive Order Process

Mid-career PMs using OASIS+ must understand that the task order competition is where outcomes are determined: not at the MAC vehicle level. For orders above \$10M, FEDSIM (the GSA competition office) conducts the competition on your behalf. The government PM's role: write a well-scoped PWS, establish meaningful evaluation criteria, and review the price analysis.

Common pitfalls: (1) PWS written so broadly that every OASIS+ contractor can qualify, leading to a lowest-price competition; (2) past performance evaluation relying on contractor-provided references that are selectively positive; (3) underestimating transition risk when switching from an incumbent. Build transition requirements directly into the PWS: require a 60-day joint transition with the incumbent, with knowledge transfer milestones and penalties for transition failures. The incumbent will not enjoy this. That's sort of the point.

MAC Vehicle Strategy: When to Use Which and Protest Risk Management

Senior acquisition professionals understand that MAC vehicle selection is itself a strategic decision. OASIS+ for complex professional services; ALLIANT 3 for IT services; SeaPort NxG for Navy; CIO-SP4 for HHS/civilian. The wrong vehicle creates protest risk: using a vehicle whose scope doesn't cover your requirement, or using a sole-source exception under a MAC vehicle when fair opportunity competition was required. The most legally dangerous pattern: steering task orders to preferred contractors by writing evaluation criteria tailored to a specific firm's past performance or unique capabilities. Experienced protesters know how to document this, and GAO has sustained numerous protests on exactly these grounds. Run your task order strategy through your legal team before release.

Key Terms

GWAC

Government-Wide Acquisition Contract: a task order contract established by one agency for use by any federal agency.

OASIS+

One Acquisition Solution for Integrated Services Plus: GSA's flagship GWAC for professional and technical services across all disciplines.

FEDSIM

Federal Systems Integration and Management Center: GSA's assisted acquisition service that manages the contracting process on behalf of customer agencies.

AAS-D

Assisted Acquisition Services (Defense) GSA's defense-focused assisted acquisition service supporting DoD agencies. (Yes, “Defense” is right there in the name. We see it too.)

Assisted Acquisition

When one agency (the servicing agency) conducts an acquisition on behalf of another agency (the requesting agency) using an Economy Act or similar authority.

Ordering Agency

The agency that places task orders against a GWAC for its own requirements (distinct from the agency that holds the contract).

Interagency Agreement (IAA)

The agreement between the requesting agency and servicing agency (e.g., GSA/FEDSIM) that authorizes the assisted acquisition.

Alliant 2

GSA's large-scale IT GWAC for complex IT solutions, available to all federal agencies.

STARS III

8(a) STARS III: GSA's GWAC for small business IT services, including 8(a) and HUBZone set-asides.

Economy Act

31 U.S.C. § 1535: the statutory authority allowing federal agencies to request services or supplies from other federal agencies.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 7

Source Selection: How the Government Chooses

15 min

Walk through the source selection process from RFP to award decision.

Walk through the source selection process from RFP to award decision.

The Source Selection Process

1. Develop Acquisition Strategy: contract type, competition, evaluation approach
2. Draft RFP: Sections L (instructions) and M (evaluation factors) are most critical
3. Issue Draft RFP: industry review and comment period (30-45 days typical)
4. Issue Final RFP: proposals due date typically 45-60 days out
5. SSEB Evaluation: each proposal scored against stated evaluation factors
6. Competitive Range Determination: eliminate clearly unacceptable proposals
7. Discussions (if applicable): exchanges with offerors in competitive range
8. Final Proposal Revisions: offerors submit best and final offers (BAFOs, a name that promises more finality than these negotiations usually deliver)
9. SSAC Review: advisory recommendation to the SSA
10. SSA Award Decision: documented source selection decision statement

Evaluation Approaches

APPROACH	WHEN TO USE	RISK	EXAMPLE
LPTA	Well-defined requirements; commoditized services; minimal performance variation	Risk of minimum acceptable quality	Janitorial services, standard IT help desk
Best Value Tradeoff	Complex programs; performance matters; clear benefit to paying more	More subjective; higher protest risk	Software development, systems integration
Value Adjusted Total Evaluated Price (VATEP)	When non-cost factors can be monetized	Requires thorough methodology	Logistics support with reliability trade-offs

Shaping the Solicitation: What Mid-Career PMs Can Control

By the time an RFP is released, the source selection outcome is largely determined by the evaluation criteria. Mid-career PMs who engage early in PWS/SOW development and Section M criteria weighting have the most influence. Push for evaluation factors that discriminate on the qualities that matter: management approach (how does the contractor plan to staff and manage the program?), cost realism (does their estimate reflect what the work actually costs?), and relevant past performance (not just any past performance). Weight price lower on high-complexity development work: the cheapest proposal is rarely the best value. The most common mistake: writing evaluation criteria so broad they discriminate on nothing, leading to a selection driven entirely by price.

Protest-Proofing Your Source Selection

GAO sustains about 15-20% of bid protests it reviews. Most sustained protests result not from wrong decisions, but from inadequate documentation of correct decisions. Senior PMs preparing for a source selection must ensure: (1) the SSDD documents the SSA's independent judgment: not just a recitation of SSAC recommendations; (2) every strength and weakness is documented with specific proposal references; (3) the best-value tradeoff explicitly states why higher price is (or is not) worth better technical factors; (4) all offerors in the competitive range received equal treatment during discussions. The most protest-prone decision is the competitive range determination: excluding an offeror requires thorough documentation of why their proposal has no realistic chance of award. Assume every decision will be reviewed by a GAO attorney.

Key Terms

RFP

Request for Proposal: the government's solicitation document inviting offerors to submit proposals.

SSEB

Source Selection Evaluation Board: the team that evaluates proposals against established criteria.

SSAC

Source Selection Advisory Council: senior advisory body that reviews SSEB results.

SSA

Source Selection Authority: the individual with authority to make the award decision.

LPTA

Lowest Price Technically Acceptable: award to the lowest priced proposal that meets minimum requirements.

Best Value

Award to the proposal offering the best combination of technical merit and price.

Past Performance

An evaluation factor assessing the offeror's track record on similar contracts.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 8

Contract Administration & COR Fundamentals

14 min

Learn how contracts are administered after award and the critical role of the COR.

Learn how contracts are administered after award and the critical role of the COR.

Core COR Responsibilities

- Monitor contractor performance against the PWS/SOW and CDRLs daily/weekly
- Document all contractor communications: emails, meeting minutes, phone notes
- Review and accept/reject deliverables within the specified timeframe
- Notify the CO immediately of any performance deficiencies, schedule slips, or scope issues
- Maintain a surveillance plan and daily/weekly surveillance records
- Never direct the contractor to do work not in the contract scope. That creates constructive changes, and constructive changes have a way of turning into very real invoices
- Track invoices against actual work performed; do not accept invoices for work not completed

COR Oversight of High-Risk Performance Areas

Mid-career PMs must direct their COR's oversight efforts to the highest-risk contract areas: not just routine deliverable acceptance. Risk areas that warrant enhanced COR attention: (1) subcontractor performance (prime contractors often absorb subcontractor failures rather than escalating to the government, masking systemic problems); (2) key personnel substitutions (contractors routinely propose senior experts who disappear post-award: CORs must verify key personnel presence); (3) Government-Furnished Equipment (GFE) receipt and accountability; and (4) cybersecurity compliance under DFARS 252.204-7012. A COR who only reviews deliverables is missing 80% of performance risk. Build a COR surveillance plan that maps oversight activities to contract risk, not just to deliverable schedules.

Cure Notices, Show Cause, and Termination for Default: The Escalation Ladder

Senior PMs have a contract escalation ladder they must understand thoroughly. Cure Notice (FAR 49.607): when a contractor is in danger of default, the CO issues a cure notice giving typically 10 days to cure the condition. Show Cause Notice: when default appears imminent, requires contractor to explain why the contract

should not be terminated. Termination for Default (T4D): the nuclear option: the government terminates, the contractor loses all rights to claim for termination costs, and the government can reprocure at the contractor's expense.

T4D creates its own risks: contractors routinely convert T4D to Termination for Convenience through litigation by arguing the default was government-caused (weather, GFE delays, government-directed changes). Document government actions meticulously throughout performance: the paper trail determines whether T4D survives a challenge.

Key Terms

ACO

Administrative Contracting Officer: responsible for contract administration after award.

DCMA

Defense Contract Management Agency: the primary government agency for DoD contract administration. (If the “Department of War” rename ever reaches the acronym level, get ready to say “WCMA” out loud in a meeting with a straight face.)

CDRL

Contract Data Requirements List: the official list of data deliverables required under the contract.

SOW

Statement of Work: defines the technical requirements and work the contractor must perform.

PWS

Performance Work Statement: outcome-based work description focused on desired results, not methods.

Constructive Change

An informal action by the government that changes contract scope without a formal contract modification.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 9

Modifications, REAs & Claims: When Contracts Change

22 min

Master contract modifications, constructive changes, Requests for Equitable Adjustment, and the claims process: the most contentious and costly aspects of contract administration.

Master contract modifications, constructive changes, Requests for Equitable Adjustment, and the claims process: the most contentious and costly aspects of contract administration.

Why Contract Changes Are Every PM's Biggest Financial Risk

The initial contract price is a starting point: not the final cost. On complex defense programs, contract modifications routinely add 20-50% to the original contract value. Every undefinitized UCA, every government-caused delay, every specification change, every constructive change creates entitlement for the contractor to more money. PMs who do not understand modification authority, REA management, and claims risk losing budget discipline entirely. The contractors' contracts and claims departments are professional: PMs must be equally sophisticated. Nobody wins that particular chess match by only learning how the pawns move.

Types of Contract Modifications: Know the Difference

TYPE	WHO SIGNS	AUTHORITY	COMMON USE	KEY RISK
Bilateral Mod (SF30)	CO + Contractor	Mutual agreement	Definitize changes; price supplements; scope adjustments	Scope creep if poorly scoped; waiver of claims if "accord & satisfaction" language added
Unilateral Mod: Change Order	CO only	Changes Clause (FAR 52.243-1)	Direct contractor to change work; price to be negotiated after	Contractor has 30 days to submit REA; undefinitized cost risk grows over time
Unilateral Mod: Admin	CO only	Administrative necessity	Correct errors, change COR, update addresses, issue/modify options	Low risk if truly administrative; never use to sneak in scope changes
Letter Contract / UCA	CO + Contractor	FAR 16.603 / DFARS 217.74	Begin urgent work before price is agreed; requires definitization schedule	Highest risk: contractor bills costs with limited incentive to control; DFARS requires definitization within 180 days

The Changes Clause: Your Most Important Tool and Risk

The Changes clause (FAR 52.243-1 for fixed-price supply, 52.243-2 for cost-reimbursable, etc.) is one of the most powerful tools in government contracting. It allows the CO to unilaterally direct changes to the contract's technical requirements, delivery schedule, place of performance, or other specified areas: without the contractor's consent. The contractor must perform. But the Changes clause also creates the contractor's entitlement to an equitable adjustment for any change that increases cost or time. The PM must ensure every directed change is formally documented: verbal direction to “just go do it” is a constructive change waiting to happen.

Constructive Changes: The Silent Budget Killer

A constructive change is not a formal directive: it is a government action or inaction that effectively changes the contractor's work without formal paperwork. Common examples: Government-issued specifications that turn out to be defective (requiring rework); CO over-inspection that goes beyond contract standards; Government delay in furnishing data, GFE, or approvals; Government interference with contractor methods of performance; Informal technical direction from a COR or Government engineer that exceeds their authority. The contractor can pursue an REA or claim for a constructive change years after the work was performed. The best defense is meticulous daily documentation of all government-contractor interactions.

Undefinitized Contract Actions (UCAs): The Highest-Risk Modification

A UCA (also called a letter contract or undefinitized change order) authorizes a contractor to begin work before the price is agreed. UCAs are necessary for urgent national security situations, but they create serious cost risk. A contractor performing under a UCA has no price ceiling and a weak incentive to control costs: they bill actual costs and know the government will pay them regardless of final negotiated price. DFARS 217.7404 requires definitization within 180 days of initial performance. In practice, many UCAs run for years undefinitized. For PMs, every open UCA is a financial exposure that should be tracked and closed as quickly as possible.

Cardinal Change Doctrine: When a Change Becomes a Breach

CONCEPT	DEFINITION	EXAMPLE	CONSEQUENCE
Within-Scope Change	Change is within the general scope of the original contract: CO can direct it unilaterally	Changing radar frequency range on a radar development contract	Contractor must perform; entitled to equitable adjustment
Cardinal Change	Change so significant it falls outside the general scope: essentially a new contract requirement	Changing a radar development contract to also develop a missile guidance system	Cannot be directed unilaterally; must be competed separately or bilateral agreement required
Change vs. Breach	An unauthorized direction that constitutes a cardinal change is a government breach: contractor can terminate for cause	CO directs contractor to provide services not contemplated anywhere in the original SOW	Contractor entitled to settlement as if for termination for convenience

The PM's Best Defense: An Active Change Control Board

Every major program should have a formal Change Control Board (CCB) that reviews, approves, and documents every technical, schedule, or contract change before it is executed. The CCB records: what changed, why, who authorized it, and the estimated cost/schedule impact. Good CCB discipline prevents constructive changes (changes that happen informally), gives the PM visibility into cumulative scope growth, and provides documentation if a contractor's REA is disputed. PMs who run informal programs without CCBs routinely lose REA negotiations because they cannot reconstruct what was actually directed.

Accord & Satisfaction: Read Every Bilateral Mod Carefully

When a contractor signs a bilateral modification that includes “accord and satisfaction” language (or “full and final settlement”), they may be waiving their right to any future claim related to that change. Contractors sometimes sign these under time pressure without fully recognizing the financial waiver. As a PM working with the CO, be aware that modification language matters legally. Conversely, if you want to definitively close out all claims associated with a change, including “full and final settlement” language is appropriate: just ensure both parties understand what they are agreeing to.

Constructive Changes: The Most Expensive Undocumented Government Actions

A constructive change occurs when government actions (without a formal modification) effectively change the contract's scope, schedule, or performance requirements. Examples: a government engineer verbally directing the contractor to add features not in the SOW; a COR demanding deliverables in a format not specified in the contract; unreasonable inspection failures that require rework not called for by contract quality standards.

Contractors document every instance and compile them into REAs at contract closeout. Mid-career PMs prevent constructive changes by enforcing a single communication protocol: all direction goes through the CO, all informal guidance is labeled as “information only, not direction,” and CORs are trained that they cannot direct scope changes. Track every verbal exchange with contractors at the technical level.

Armed Services Board of Contract Appeals: What Senior PMs Need to Know

When REAs become claims and claims become disputes, they go to the Armed Services Board of Contract Appeals (ASBCA) or the Court of Federal Claims. Senior PMs are rarely ASBCA participants personally, but their decisions (and their documentation) become the evidence. ASBCA cases routinely turn on: (1) whether government direction was communicated in writing or only verbally; (2) whether the contractor provided timely notice of a changed condition (failure to provide timely notice waives the right to recover); (3) whether government delay was “excusable” (sovereign acts, weather) or “compensable” (government failure to perform its obligations). Build a file culture from day one: every significant decision in writing, every government-caused delay documented with specific dates and contract references. The ASBCA judge reading your file 5 years from now is your actual audience.

Key Terms

Bilateral Modification

A contract change signed by both the contractor and the contracting officer. Used for definitized changes, price adjustments, and scope changes both parties agree to.

Unilateral Modification

A contract change signed only by the contracting officer, using a contract authority clause (e.g., Changes clause, stop-work order, exercise of option). Contractor may disagree but must perform.

Changes Clause

FAR 52.243-1 through 52.243-4: authorizes the CO to direct changes within the general scope of the contract. Contractor must perform the change; has right to an equitable adjustment.

Constructive Change

A change that is not formally directed but results from government action or inaction that effectively changes the contractor's work. Examples: defective specifications, government-caused delays, over-inspection.

REA

Request for Equitable Adjustment: a contractor's formal request for a contract price or schedule adjustment due to a government-directed or constructive change. Precursor to a claim.

Claim

A written demand by a contractor to the CO for payment of a specific sum, adjustment to contract terms, or other relief: subject to the Contract Disputes Act. Claims over \$100K must be certified.

Definitization

The process of negotiating and finalizing the price and terms of an undefinitized contract action (UCA): converting a letter contract or other interim vehicle to a fully priced contract.

UCA

Undefinitized Contract Action: a contract where work begins before price is agreed. Risky for government: contractor has little incentive to control costs before definitization.

Contract Disputes Act

41 U.S.C. § 7101 et seq.: establishes the process for resolving government contract disputes, including CO Final Decisions, ASBCA appeals, and Court of Federal Claims.

ASBCA

Armed Services Board of Contract Appeals: administrative tribunal that hears contractor appeals of Contracting Officer Final Decisions on contract disputes.

Knowledge Check

Which type of contract modification requires signatures from BOTH the contracting officer and the contractor?

- A. Change order
- B. Administrative modification
- ✓ C. **Bilateral modification**
- D. Stop-work order

WHY

A bilateral modification (Standard Form 30) is executed by both the CO and the contractor, typically reflecting a mutual agreement on scope, price, or schedule changes. Change orders and stop-work orders are unilateral modifications: signed only by the CO using an existing contract authority clause.

A government program manager verbally tells a contractor's engineer to “add this new feature while you're at it” without a formal contract modification. This most likely creates:

- A. A valid contract change under the Changes clause
- ✓ B. **A constructive change: the contractor may pursue an REA based on government-directed work outside the contract SOW**
- C. No obligation since it was not in writing
- D. An unauthorized commitment by the contractor

WHY

Verbal direction to perform out-of-scope work without a formal modification is a classic constructive change. The contractor performed work beyond the contract requirements based on government direction. Even without a formal mod, the contractor has entitlement to an equitable adjustment. This is why COR authorities are strictly limited: informal technical direction can bind the government to pay for work without contractual authority.

An Undefinitized Contract Action (UCA) must be definitized within how many days under DFARS 217.7404?

A. 30 days

B. 90 days

✓ C. 180 days

D. 365 days

WHY

DFARS 217.7404-3 requires UCAs to be definitized within 180 days of issuance of the authorization to proceed, or by the time 50% of the work is completed: whichever comes first. In practice, many UCAs remain undefinitized beyond this requirement. Every day a UCA is undefinitized, the government faces increasing cost risk because the contractor is billing actual costs with no negotiated price ceiling.

A contractor submits an REA that grows into a formal claim of \$2.5M. For the claim to be valid, it must be:

A. Submitted within 30 days of the change

✓ B. Certified by a senior company official and submitted as a written demand to the CO

C. Approved by DCAA before submission

D. Accompanied by a technical evaluation from DCMA

WHY

Under the Contract Disputes Act (41 U.S.C. § 7103), claims exceeding \$100K must be certified by an authorized contractor representative that the claim is made in good faith, supporting data are accurate and complete to the best of their knowledge, and the amount requested accurately reflects the contract adjustment believed to be due. False certification can expose the contractor to criminal liability under the False Claims Act.

A “cardinal change” is significant because:

A. It requires a 30-day waiting period before performance

✓ **B. It falls outside the general scope of the contract and cannot be directed unilaterally: it may constitute a breach**

C. It always requires Congressional approval

D. It must be competed under full and open competition

WHY

The cardinal change doctrine (developed through case law at the ASBCA and Court of Federal Claims) holds that changes so substantial they alter the nature of the bargained-for contract cannot be directed unilaterally under the Changes clause. Doing so constitutes a government breach, and the contractor is entitled to breach remedies. For PMs, this means very large scope additions should be scrutinized for cardinal change risk before direction is issued.

A Contracting Officer Final Decision (COFD) in response to a contractor claim must be issued within:

A. 30 days of the claim

✓ **B. 60 days of the claim (or reasonable time with notification for complex claims)**

C. 180 days

D. There is no time requirement

WHY

The Contract Disputes Act requires the CO to issue a Final Decision within 60 days of a certified claim, or within a reasonable time for more complex claims; provided the CO notifies the contractor of the anticipated decision date. If the CO fails to issue a COFD, the contractor may treat the inaction as a denial and appeal directly to the ASBCA or Court of Federal Claims (deemed denial).

Which of the following is an example of a constructive change based on defective government specifications?

A. The CO directs a formal change to the system's performance requirements

✓ B. Government-provided technical specifications contain errors that cause the contractor to perform excessive rework to meet the actual requirement

C. The contractor voluntarily redesigns the system to improve performance

D. The CO exercises an option on the contract

WHY

Defective government specifications are one of the most common sources of constructive changes. When the government provides faulty specs that the contractor relies on (only to find they are incorrect or impossible to meet) the extra work required to correct the problem is a constructive change entitling the contractor to an equitable adjustment. The government warrants the accuracy of specifications it provides (the “Spearin Doctrine,” 248 U.S. 132 (1918)).

A bilateral modification that includes “full and final settlement” language regarding all claims related to a change means:

A. The contractor retains the right to pursue additional claims for hidden costs

✓ B. The contractor waives their right to future claims arising from that change: an accord and satisfaction

C. DCAA must approve the settlement before it is final

D. The modification automatically triggers a DCMA review

WHY

“Accord and satisfaction” in a bilateral mod means both parties agree the modification fully resolves all claims arising from the specified change. Once signed, the contractor generally cannot pursue additional claims for that change. This is a powerful tool for closing out changes cleanly, but contractors sometimes sign without fully understanding the financial waiver implications.

The ASBCA (Armed Services Board of Contract Appeals) has jurisdiction over:

A. Pre-award bid protests by losing offerors

✓ **B. Contractor appeals of Contracting Officer Final Decisions (COFDs) on contract disputes**

C. DCAA audit disputes between contractors and auditors

D. Congressional notification of Nunn-McCurdy breaches

WHY

The ASBCA (and its civilian counterpart, the CBCA) hears contractor appeals of CO Final Decisions under the Contract Disputes Act. It is an administrative tribunal (not a federal court), but its decisions can be appealed to the Court of Appeals for the Federal Circuit. The alternative forum is the U.S. Court of Federal Claims, a judicial (Article III) court.

A Change Control Board (CCB) on a major defense program primarily serves to:

A. Review and approve DCAA audit findings before they are released

✓ **B. Document, review, and approve all technical and contractual changes before execution: preventing constructive changes and scope creep**

C. Authorize program managers to exceed budget without congressional notification

D. Approve new hire requests for the program office

WHY

A CCB provides the formal process for evaluating and approving changes to the baseline: technical, schedule, and contractual. Every proposed change is evaluated for cost/schedule impact before it is directed. This prevents informal, undocumented changes (constructive changes) and gives the PM a documented record of all directed changes: essential for defending against REAs that claim the government directed more work than the formal record shows.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 10

OTAs, FAR Part 12 & Streamlined Acquisition Authorities

18 min

Understand OTAs, FAR Part 12, and streamlined acquisition paths, and why these vehicles represent some of the biggest BD opportunities for defense contractors today.

Understand OTAs, FAR Part 12, and streamlined acquisition paths, and why these vehicles represent some of the biggest BD opportunities for defense contractors today.

Why This Matters for Contractors: Not Just the Government

Most people think OTAs and FAR Part 12 are just government tools. They are, but understanding them as a contractor is a competitive advantage. OTAs let the government bypass FAR entirely, which means they can award directly to non-traditional contractors (tech firms, startups, commercial companies) who refuse to comply with the full FAR/DFARS/CAS burden. If your company has commercial capabilities, an OTA is often the fastest path to a DoD contract. FAR Part 12 commercial item determinations reduce your regulatory compliance burden: no certified cost or pricing data, no CAS, no separate accounting system requirements. Knowing how the buyer sees these tools helps you position your offer, price competitively, and win work that never even reaches traditional procurement channels.

For government-side PMs: these paths exist because the full FAR/DFARS compliance burden was pricing out commercial technology firms. Google, Amazon, and many AI companies refuse to bid traditional DoD work. OTAs and FAR Part 12 were the answer.

Acquisition Paths Compared: Regulatory Burden vs. Speed

PATH	REGULATORY BURDEN	TIMELINE	BEST FOR	KEY LIMITATION
Traditional FAR/DFARS Contract	Full FAR/DFARS/ CAS compliance	12-36+ months	Complex development; cost-reimbursable R&D; traditional defense programs	Slow; excludes many commercial firms
FAR Part 12 Commercial	Reduced: no CAS, no certified cost data	6-18 months	Products/services available commercially without substantial modification	Item must be genuinely commercial
OTA Prototype	No FAR/DFARS/ CAS	3-12 months	Innovative prototypes; non-traditional contractors; technology demonstration	Non-competitive follow-on must still meet criteria
OTA Production (follow-on)	No FAR/DFARS	1-6 months if directly follows prototype	Production of successfully demonstrated OTA prototype	Requires successful prototype; scale limits apply
Simplified Acquisition Procedures	Minimal	Days to weeks	Purchases < \$350K; immediate needs	\$350K ceiling; cannot be used to circumvent competition for larger requirements
Micro-Purchase	None	Hours	Purchases < \$15K; credit card (GPC)	\$15K ceiling; no competition required

Other Transaction Authority: The Most Powerful Tool You're Not Using Enough

OTA was originally authorized in 1958 for NASA (10 USC 4001) and expanded dramatically for DoD prototyping in the 2010s. Under 10 USC 4022, DoD can enter prototype OTAs and (critically) non-competitively award follow-on production contracts to the OTA performer if the prototype is successfully demonstrated. This is a major advantage: a company can win prototype work through OTA, demonstrate success, and then convert directly to production without re-competing. For DoD, OTA allows engagement with commercial tech firms, startups, and nontraditional contractors who refuse FAR-regulated contracts. OTA agreements can include flexible payment terms, IP arrangements, and milestone-based payments that are impossible under FAR.

OTA Safeguards: What You Can't Do

OTA is powerful but not unlimited. Key restrictions: (1) Prototype OTAs must include at least one “nontraditional defense contractor” (a company that has not received DoD contracts over \$1M in the past year subject to full CAS compliance) OR significant government cost-share (one-third of total project cost). (2) The prototype must be for a “prototype project”: not production of a fielded system. (3) Follow-on production OTAs require a successful demonstration of the prototype. (4) Congress must be notified of OTAs over \$500M. (5) OTAs over \$250M generally require competitive processes. There is significant congressional scrutiny of OTA misuse: using OTA to avoid competition for production work that should be competitively bid.

The 6 Reasons the Government Can Skip Competition

- Only one company can actually do it: unique technology, patent, or proprietary data
- There's no time: a genuine emergency
- National security or classified programs
- Required by law: like small business set-asides
- International agreement requires a specific vendor
- Maintaining a critical industrial base capability

Simplified Acquisition Procedures: Speed and Flexibility for Small Buys

For purchases below \$350K, FAR Part 13 allows significantly streamlined procedures. Competition is still encouraged (generally three quotes are sufficient) but the complex evaluation, documentation, and review requirements of FAR Part 15 do not apply. Below \$15K (micro-purchase threshold), Government Purchase Card (GPC) holders can buy without any competition requirement. For PMs managing programs with many small supporting contracts, understanding SAP allows faster decisions without compromising legal compliance. However, SAP cannot be used to intentionally break up larger requirements to stay below the threshold (a practice called “split purchasing”: a federal violation, and the kind of math an auditor spots in about four seconds).

OTA Abuse: A Growing Congressional Concern

OTA use has grown dramatically: from \$3.4B in FY2017 to over \$23B in recent years. Congress has flagged concerns about OTA being used to circumvent competition requirements for production work that should be competitively bid, and about follow-on production OTAs being used well beyond the demonstrated prototype scope. PMs must ensure OTAs are used appropriately: for genuine prototypes, with nontraditional contractor participation, and for production only when the prototype was successfully demonstrated. An OTA that looks like a production contract without competition will face Congressional scrutiny and potential investigation.

Practical OTA Uses for Today's PM

Modern defense PMs use OTAs for: AI/ML capability demonstrations with Silicon Valley firms; cybersecurity prototype testing with startups; rapid software prototyping with nontraditional vendors; cloud platform demonstrations. The key is ensuring your OTA is genuinely a prototype (a learning/demonstration activity) not production by another name. Work closely with your legal and contracting teams. The most common OTA mistake is treating it as a shortcut to sole-source production rather than a genuine innovation tool.

OTA Strategy for Mid-Career PMs: When and How to Use Them

Other Transaction Agreements under 10 U.S.C. § 4022 offer significant flexibility: no FAR applicability, no Cost Accounting Standards, and the ability to engage non-traditional defense contractors who won't bid on traditional contracts. For mid-career PMs, the critical skill is knowing when OTA fits, and when it doesn't. OTAs excel for prototype and rapid fielding work with commercial or non-traditional performers. They fail for programs requiring long-term cost accountability, competitive follow-on production (unless structured carefully), or sustained government oversight of contractor financials. An OTA that transitions to a sole-source production contract without competition will face legal scrutiny. Structure the prototype OTA from day one to enable competitive production awards.

The Legal Boundaries of Streamlined Acquisition: Where Senior PMs Get Burned

FAR Part 12 commercial item authority and OTAs are powerful tools, but senior PMs know the legal tripwires. Commercial item determinations require a market analysis demonstrating the item is sold to the general public in substantial quantities. Labeling something “commercial” without adequate justification creates GAO protest risk and audit exposure. For OTAs: the “significant non-traditional contractor involvement” requirement is frequently gamed but increasingly scrutinized: if your “non-traditional” partner is a JV with a traditional prime as the majority partner, a DoD IG audit will flag it. The OTA authority explicitly prohibits using them to circumvent the Clinger-Cohen Act or the Competition in Contracting Act for production. Know the statutory text, not just the guidance.

Key Terms

OTA

Other Transaction Authority: statutory authority allowing DoD to enter agreements (not contracts) for prototype projects and follow-on production outside FAR/DFARS requirements.

Other Transaction Agreement

An agreement (not a procurement contract) executed under OTA authority. Not subject to FAR, DFARS, CAS, or most standard acquisition regulations.

FAR Part 12

Acquisition of Commercial Products and Commercial Services: streamlined procedures for buying items available in the commercial marketplace, with reduced regulatory burden.

Commercial Item

An item sold or offered in the commercial marketplace for non-government purposes. FAR Part 12 allows acquisition with fewer regulations and no certified cost or pricing data requirement.

SAP

Simplified Acquisition Procedures: streamlined procurement process for purchases below the SAT (\$350K). Faster, less documentation, but still requires competition where practical.

SAT

Simplified Acquisition Threshold: \$350K (effective October 1, 2025). Acquisitions below this threshold use SAP. Between SAT and \$750K there are additional micro-purchase/simplified procedures.

Micro-Purchase

Purchases at or below \$15K. May be made by any government employee with a purchase card without competition requirement (FAR Part 13.2).

Sole Source

Award without competition. Requires justification under FAR 6.302: valid reasons include: only one responsible source, urgency, national security, follow-on R&D.

COTS

Commercial Off-The-Shelf: products sold or used commercially without modification. COTS acquisition is the fastest, cheapest path but requires active market research.

10 USC 4022

The primary statutory authority for DoD prototype OTAs and follow-on production OTAs. Allows non-traditional defense contractors to participate without the FAR compliance burden.

Knowledge Check

What makes OTA (Other Transaction Authority) attractive to non-traditional defense contractors like tech startups?

A. OTA provides larger contracts than FAR-based contracts

✓ B. OTA agreements are not subject to FAR, DFARS, or CAS requirements: eliminating compliance costs that deter commercial firms

C. OTA guarantees sole-source follow-on production

D. OTA eliminates all intellectual property protections for the government

WHY

The primary appeal of OTA for nontraditional contractors is freedom from FAR/DFARS/CAS compliance: the accounting, reporting, and audit requirements that add significant overhead costs and complexity. Companies like commercial AI firms, cloud providers, and defense tech startups often refuse traditional DoD contracts specifically because of this compliance burden. OTA removes those barriers.

Under 10 USC 4022, a follow-on production OTA (without competition) is permitted when:

A. The program manager approves it

✓ B. The prototype project was competitively awarded and successfully demonstrated

C. Congress has not objected within 30 days

D. The original OTA was below \$100M

WHY

A key benefit of prototype OTAs is the ability to award follow-on production to the same performer without competition: IF the prototype was competitively awarded (or met the nontraditional contractor requirement) AND was successfully demonstrated. This production must directly follow from the demonstrated prototype; using it to award unrelated production work is OTA misuse.

A product qualifies as “commercial” under FAR Part 12 when:

A. It was developed specifically for DoD

✓ **B. It has been sold or offered for sale in the commercial marketplace, or evolved from such an item through advances in technology**

C. It costs less than the simplified acquisition threshold

D. The contractor certifies it does not require unique modifications

WHY

FAR 2.101 defines commercial products broadly: sold in the commercial marketplace, offered with customary modifications, or evolved from commercial items. The CO makes the determination based on market research. Commercial item status eliminates CAS, certified cost or pricing data (TINA), and many DFARS clauses: dramatically reducing contractor compliance burden.

The simplified acquisition threshold (SAT) is currently:

A. \$10,000

B. \$50,000

C. \$150,000

✓ **D. \$350,000**

WHY

The SAT is \$350,000, effective October 1, 2025 per FAR 2.101 (updated by the Federal Acquisition Circular FAC 2025-07). Acquisitions below the SAT use simplified acquisition procedures (FAR Part 13). The micro-purchase threshold (no competition required) is \$15,000. The SAT is adjusted periodically for inflation and certain exceptions apply (e.g., commercial items, construction).

“Split purchasing” (intentionally breaking a \$500K requirement into three \$150K purchases to use SAP) is:

A. A legitimate use of simplified acquisition procedures

✓ **B. A violation of FAR 13.003(c): requirements cannot be artificially split to circumvent competition or dollar thresholds**

C. Permitted if the items are needed at different times

D. Only a problem if audited by DCAA

WHY

FAR 13.003(c) explicitly prohibits splitting requirements into smaller purchases to avoid competition requirements or threshold limitations. This is a common compliance violation that auditors and inspectors general actively look for. The test is whether the items serve a single end purpose that should be acquired as one requirement: if so, they must be consolidated and competed appropriately.

Which FAR clause replaces dozens of standard DFARS clauses when FAR Part 12 commercial item procedures are used?

A. FAR 52.215-2 (Audit and Records)

✓ **B. FAR 52.212-4 (Contract Terms and Conditions: Commercial Products) and FAR 52.212-5**

C. DFARS 252.204-7012 (Cybersecurity)

D. FAR 52.222-26 (Equal Opportunity)

WHY

FAR 52.212-4 and 52.212-5 are the streamlined commercial terms clauses that substitute for the full list of individual standard FAR clauses normally required. This is what makes commercial acquisitions so much faster: instead of reviewing 30+ clause flowdown requirements, the CO simply incorporates 52.212-4/5, which contain the essential terms in a single, commercial-friendly format.

A sole source justification under FAR 6.302-2 (“unusual and compelling urgency”) requires the PM to demonstrate:

A. The requirement is classified

✓ B. There is an immediate danger to life, national security, or critical mission; and competition would cause unacceptable delay

C. The contractor is the only one in the world with the capability

D. The acquisition is below the simplified acquisition threshold

WHY

FAR 6.302-2 urgency requires a genuine time-critical situation where competing the requirement would cause serious harm: not just inconvenience. The J&A must document the specific harm of delay, the limited period for the noncompetitive award, and a plan to compete follow-on requirements. “We didn’t plan ahead” does not qualify as unusual and compelling urgency.

A key OTA safeguard that prevents its use solely as a competition-avoidance tool for production is:

A. OTAs must be reviewed by GAO before award

✓ B. Production OTAs require the prototype to have been successfully demonstrated AND the OTA must include at least one nontraditional contractor OR significant government cost-share

C. OTAs are automatically cancelled after 2 years

D. All OTAs must be competitively awarded through a public notice

WHY

The nontraditional contractor OR government cost-share requirement prevents traditional defense contractors from simply using OTA to avoid competition. The “successful demonstration” requirement ensures follow-on production is genuinely tied to demonstrated prototype results. Together, these safeguards are intended to prevent OTA from becoming a regulatory loophole for routine production contracting.

Government Purchase Cards (GPCs) can be used without any competition requirement for purchases at or below:

- A. \$2,500
- B. \$10,000
- ✓ C. \$15,000
- D. \$50,000

WHY

The micro-purchase threshold is \$15,000 (FAR 13.201): purchases at or below this amount may be made with a GPC by any authorized cardholder without a competition requirement. Above \$15K, SAP competition standards apply. Above \$350K (SAT), full competition and documentation requirements apply.

Which statement best describes the relationship between OTA and FAR?

- A. OTAs are a type of contract governed by FAR Part 16
- ✓ B. OTAs are agreements (not procurement contracts) that operate outside the FAR: they are governed by their own negotiated terms and the authorizing statute (10 USC 4022)
- C. OTAs are subject to FAR but exempt from DFARS
- D. OTAs must be converted to FAR contracts within 180 days

WHY

OTAs are explicitly not procurement contracts and are not subject to the FAR or DFARS. They are governed by the statutory authority (10 USC 4022 for prototype and production), the negotiated agreement terms, and any agency-specific OTA guidance (like the OSD OTA Guide). This is the source of their flexibility, and the reason they require careful legal and policy oversight.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 11

Roles & Career Paths in DoD Acquisitions

10 min

Understand the major acquisition workforce career fields, certifications, and how they interact.

Understand the major acquisition workforce career fields, certifications, and how they interact.

Acquisition Workforce Career Fields

CAREER FIELD	PRIMARY ROLE	KEY CERTIFICATION
Program Management (PM)	Lead and manage acquisition programs from cradle to grave	DAU PM certifications (FL I, II, III)
Contracting Specialist / KO	Manage the contracting process, award and administer contracts	DAWIA Contracting + FAC-C
Financial Management	Budget formulation, execution, and cost analysis	DAWIA FM + CDFM
Systems Engineering (SE)	Technical oversight and systems architecture	DAWIA SE certifications
Logistics	Lifecycle sustainment planning and execution	DAWIA LOG certifications
Cost Estimating	Develop program cost estimates and ICEs	CCEA certification

Core Skills Every Acquisition Professional Needs

- Deep understanding of the FAR/DFARS and acquisition regulations
- Ability to read and interpret financial reports (EVM, budget exhibits)
- Experience managing contractor relationships and COR oversight
- Skill in risk management and mitigation planning
- Proficiency in requirements management and scope control
- Stakeholder management across technical, financial, and leadership teams
- Understanding of the PPBE cycle to protect program funding

The Contracting Officer (CO) Role

The Contracting Officer is the only person legally authorized to obligate the U.S. government to spend money on a contract. They hold a “warrant”: a written delegation of authority specifying dollar thresholds they can sign up to. COs manage the full contract lifecycle: developing solicitations, evaluating proposals, negotiating terms,

awarding contracts, issuing contract modifications, and closing out contracts. They are the legal guardians of the procurement process and must ensure every action complies with the FAR, DFARS, and applicable agency supplements. Without a CO's signature, nothing is official: not a delivery order, not a modification, not even a letter acknowledging a contractor claim.

What Makes a Successful Contracting Officer?

- FAR/DFARS mastery: understands what the regulations require and where flexibility exists
- Negotiation skills: ability to drive fair and reasonable pricing without litigation risk
- Business acumen: understands contractor cost structures, profit motives, and market dynamics
- Legal judgment: recognizes unauthorized commitments, organizational conflicts of interest, and protest risks
- Writing precision: contract language must be unambiguous and legally defensible
- Contracting Specialist position (federal Series 1102) + DAWIA Contracting certification (Foundational, Practitioner, Advanced)
- FAC-C certification (for civilian agencies); warrant issued by the Head of Contracting Activity (HCA)

The Contracting Officer's Representative (COR) Role

The COR is the government's eyes and ears on an active contract. Nominated by the PM and formally appointed by the CO in writing, the COR monitors contractor performance on the ground: accepting or rejecting deliverables, documenting performance issues, and providing technical guidance within the contract's scope. Critically, the COR has NO contract authority: they cannot direct changes, approve additional work, or modify contract terms. Any direction that changes cost, schedule, or scope must go through the CO via a formal contract modification. A COR who oversteps (even with good intentions) can create an “unauthorized commitment” that exposes the government to liability.

What Makes a Successful COR?

- Deep technical knowledge of the contracted work: the COR must understand what “good” looks like
- Documentation discipline: maintains a contract file with dated records of every interaction with the contractor
- Scope awareness: instantly recognizes when a contractor request or government action would change contract scope
- Mandatory COR training (CLC 106 via DAU, the Defense Acquisition University, yes, another “Defense” in the acronym soup) and formal written appointment letter from the CO
- Independence: comfortable escalating contractor performance problems even when there is political pressure not to
- CORs must be a government employee (military or civilian): contractors cannot serve as CORs

The Financial Manager (FM) Role

The Financial Manager is the PM's budget expert: the person who ensures the program has the right type of money, at the right time, in the right amount. DoD uses multiple appropriation types (RDT&E, Procurement, O&M, MILCON) and each has strict rules about what it can fund and when it expires. The FM formulates the program's budget exhibits (POM submissions), tracks obligations and expenditures against plan, manages the program's Spend Plan, and serves as the early warning system for funding shortfalls. When the PM says “we're running out of money,” the FM already knew two months ago.

What Makes a Successful Financial Manager?

- Appropriations law fluency: understands the “color of money” rules and what each fund type can legally purchase
- PPBE cycle expertise: knows how to build a winning POM submission and defend it through the budget cycle
- EVM literacy: can read a CPR/IPMR and identify early indicators of cost growth
- Anti-Deficiency Act (ADA) awareness: recognizes obligations that exceed available funding before they become violations
- CDFM (Certified Defense Financial Manager, told you there'd be more) or DAWIA FM certification strongly preferred
- Works closely with the PM and CO: no contract mod should be signed without FM confirming funds are available

The Systems Engineer (SE) Role

The Systems Engineer translates warfighter requirements into a technically feasible, integrated system design. SEs own the technical baseline: the specifications, interface control documents, and system architecture that define what the contractor must build. On major programs, the SE leads Technical Reviews (SRR, PDR, CDR) and tracks technical performance measures (TPMs) to ensure the system will meet Key Performance Parameters (KPPs). The PM relies on the SE to catch technical risk early, before it becomes a cost and schedule problem. SEs bridge the gap between operational needs and engineering reality.

The Cost Estimator Role

The Cost Estimator builds the government's independent assessment of what a program should cost: the Independent Cost Estimate (ICE). This estimate is produced independently of the contractor and is used to validate contractor proposals during source selection and at milestone reviews. On ACAT I programs, CAPE (Cost Assessment and Program Evaluation) produces a separate independent cost estimate called a CAPE ICE.

Cost estimators use parametric models (SEER, PRICE H, ACEIT), analogous estimates from historical programs, and engineering build-ups. Their work directly influences whether a program is funded, restructured, or cancelled.

The Logistics / Life Cycle Sustainment Planner Role

Logistics professionals plan how a system will be supported throughout its operational life: maintenance, spare parts, technical manuals, training, and depot support. The Life Cycle Sustainment Plan (LCSP) is their primary product and is reviewed at every milestone. Sustainment costs often exceed development and procurement costs over a system's lifetime: for many defense systems, 70% of total ownership cost is sustainment. A Logistics professional who engages late (after the design is locked) has almost no ability to reduce those costs. Early involvement in design trade-offs (reliability, maintainability, testability) is where sustainment value is created.

How the Roles Work Together on a Program

ROLE	PRIMARY AUTHORITY	WHAT THEY OWN	KEY LIMITATION
Program Manager (PM)	Cost, Schedule & Performance accountability	Overall program success: the integrator	No contracting authority; cannot sign contracts
Contracting Officer (CO)	Warrant authority to bind the government	Contract award, mods, and closeout	Cannot direct technical work beyond contract terms
COR	Delegated by CO (in writing)	Day-to-day technical oversight of contractor	ZERO contract authority: advisory role only
Financial Manager (FM)	Funds certification authority	Budget formulation, execution, and spend plan	Cannot obligate funds without CO involvement
Systems Engineer (SE)	Technical baseline authority	Requirements, specs, and technical reviews	Cannot approve contract changes unilaterally
Cost Estimator	Independent estimate authority	ICE and cost realism analysis	Advisory: does not set program budgets alone
Logistics/ Sustainment	LCSP ownership	Sustainment planning across system lifecycle	Often engaged too late; must be involved at design

Building Cross-Functional Credibility as a PM

A mid-career PM sits at the intersection of the technical, contracting, and financial communities, but is authoritative over none of them. Your COR has more contract expertise. Your cost analyst understands EVM better. Your systems engineer owns the technical baseline. Your power comes from orchestration, not expertise. You will probably never be the smartest person on your own program, and that's fine: the job is making sure the smartest people are all looking at the same problem at the same time. The key skill is knowing enough about

each domain to ask the right questions, catch inconsistencies, and drive decisions. In practice: read every contract modification before signing, attend DCAA floor check briefings even when not required, and sit with the systems engineer during CDRs. The informal knowledge you build is what makes you credible when you challenge a contractor on cost realism.

The PM as Program Architect: Shaping the Acquisition Before It Starts

The most impactful PMs shape their programs before Milestone B: not after. At the senior level, your job is acquisition strategy: contract type selection, source selection criteria weighting, EVMS thresholds, and data rights. These decisions, made 18-24 months before contract award, determine whether your program is executable. A CPIF with a 70/30 share ratio on a software program with unstable requirements will give the contractor every incentive to slow-roll risk mitigation. A FFRDC study that locks in requirements before the market is ready will waste a year. Senior PMs think about incentive structures, competitive dynamics, and industrial base health: not just Gantt charts.

Key Terms

DAWIA

Defense Acquisition Workforce Improvement Act: establishes education, training, and experience standards. (Third “Defense” of this lesson. We’re done pointing it out now.)

APDP

Acquisition Professional Development Program: the framework for acquisition workforce development.

FAC-PM

Federal Acquisition Certification for Program and Project Managers.

PCO

Procuring Contracting Officer: has authority to enter into, administer, and terminate contracts.

COR

Contracting Officer’s Representative: the government’s technical eyes and ears on a contract.